SS1 MARKETING LESSON NOTES

FIRST TERM

WEEK 1: INTRODUCTION TO MARKETING I

A. MEANING OF MARKETING

Marketing is a fundamental concept for all businesses and organizations. It is often misunderstood as just advertising or selling, but it is a much broader and more complex process.

1. **TRADITIONAL DEFINITION:** In the past, marketing was seen as the process of moving goods and services from the producer to the consumer. This

definition is limited because it focuses only on distribution and sales *after* a product is made.

2. **MODERN DEFINITION (CUSTOMER-CENTRIC):** The modern definition is a management and social process. A simple, modern definition is: **"Marketing is the process of identifying, anticipating, and satisfying customer needs and wants profitably."**
    - **IDENTIFYING:** Using market research to discover what customers need.
    - **ANTICIPATING:** Predicting future needs and trends.
    - **SATISFYING:** Creating products and services (offerings) that provide value and solve the customers' problems.
    - **PROFITABLY:** Ensuring the company achieves its own objectives (like profit, growth, or market share) by satisfying the customer.
3. **PROFESSIONAL DEFINITION (AMERICAN MARKETING ASSOCIATION - AMA):** "Marketing is the activity, set of institutions, and processes for **creating, communicating, delivering, and exchanging offerings** that have **value** for customers, clients, partners, and society at large."
    - This definition highlights the "4Ps" (which we will study later) and emphasizes that marketing must create **VALUE** for everyone involved.

B. NATURE OF MARKETING

The "nature" of marketing refers to its essential characteristics and features.

1. **CUSTOMER-CENTRIC (OR CUSTOMER-ORIENTED):** The customer is the center of the marketing universe. All marketing decisions (what to produce, what price to set) begin and end with the customer.
2. **A MANAGEMENT PROCESS:** Marketing is not random; it is a deliberate process that involves planning, organizing, implementing, and controlling marketing activities to achieve goals.
3. **A SOCIAL PROCESS:** Marketing involves the interaction between two or more parties (buyers and sellers) for the mutual exchange of value.
4. **AN ECONOMIC PROCESS:** Marketing creates economic "utility," which is the value or usefulness a consumer gets from a product. It creates:

- **Place Utility:** Making products available where customers are.
- **Time Utility:** Making products available when customers want them.
- **Possession Utility:** Transferring ownership from seller to buyer.

5. **DYNAMIC AND ADAPTIVE:** Marketing is not static. It must constantly adapt to changes in the environment, such as new technology (e.g., social media), new competitors, and new customer habits.
6. **BOTH AN ART AND A SCIENCE:**
   - **Science:** It relies on data, research, and analysis to understand customers.
   - **Art:** It requires creativity in advertising, branding, and communication.

C. SCOPE OF MARKETING

The "scope" of marketing refers to *what* can be marketed. Many people think marketing is only for physical products (like soap or cars), but its scope is vast.

1. **GOODS:** Physical, tangible items (e.g., phones, food, books, furniture).
2. **SERVICES:** Intangible activities or benefits (e.g., banking, hairdressing, education, transportation).
3. **EVENTS:** Time-based occurrences (e.g., marketing the Olympics, a music concert, a trade show).
4. **EXPERIENCES:** Creating memorable experiences for customers (e.g., a trip to Disneyland, a themed restaurant).
5. **PERSONS:** Celebrity marketing or personal branding (e.g., politicians, artists like Davido, sports stars).
6. **PLACES:** Attracting tourists, businesses, or residents to a specific location (e.g., "Visit Dubai," "Invest in Lagos").
7. **PROPERTIES:** Marketing intangible rights of ownership (e.g., real estate, stocks, bonds).
8. **ORGANIZATIONS:** Building a corporate image or reputation (e.g., non-profits like the Red Cross, or companies like MTN).
9. **INFORMATION:** Selling information as a product (e.g., universities marketing their courses, consulting firms, market research reports).
10. **IDEAS:** Marketing a concept or cause (e.g., "Say No to Drugs," "Buckle Up for Safety"). This is often called **social marketing**.

EVALUATION QUESTIONS

1. Define marketing in your own words, based on the modern concept.
2. Explain the difference between the traditional and modern definitions of marketing.
3. List and explain the four components of the modern definition: "identifying, anticipating, satisfying, and profitably."
4. Describe what is meant by the "customer-centric" nature of marketing.
5. List any five things that can be marketed, other than physical goods.

ASSIGNMENT QUESTIONS

1. "Marketing is just advertising and selling." Critically evaluate this statement and explain why it is incorrect.
2. Explain how marketing is both an "art" and a "science."
3. Choose a non-physical item from the "Scope of Marketing" (e.g., a place, an idea, or a person) and describe how you would market it.
4. Explain the four types of economic utility that marketing helps to create.
5. Interview a local business owner (e.g., a shopkeeper, a tailor) and ask them what "marketing" means to them. Write down their response and compare it to the modern definition you learned.

WEEK 2: INTRODUCTION TO MARKETING II

A. IMPORTANCE OF MARKETING IN BUSINESS

Marketing is often called the "engine" of a business. It is the primary function responsible for generating revenue and connecting the business to its customers.

1. **REVENUE GENERATION:** Marketing is the only function of a business that directly brings in money. All other departments (Finance, HR, Production) are "cost centers," while marketing is a "revenue center."
2. **PROVIDES BASIS FOR DECISION-MAKING:** Marketing provides data and information through market research. This information helps management

decide *what* to produce, *at what price*, *how to distribute it*, and *how to promote it*.

3. **CREATES CUSTOMER SATISFACTION AND LOYALTY:** By focusing on customer needs, marketing helps the business create products that solve problems. A satisfied customer is likely to return (loyalty) and recommend the business to others (advocacy).
4. **HELPS IN BRAND BUILDING AND REPUTATION MANAGEMENT:** Through branding, advertising, and public relations, marketing shapes how the public perceives the business. A strong brand (like Coca-Cola or Apple) is one of a company's most valuable assets.
5. **CREATES A COMPETITIVE ADVANTAGE:** In a crowded market, marketing helps a business differentiate itself from its competitors. It answers the customer's question: "Why should I buy from you and not your rival?"
6. **DRIVES INNOVATION:** Feedback from the market (gathered by marketing) tells the company what is working, what is not, and what new features customers want. This drives the development of new and improved products.

B. IMPORTANCE OF MARKETING IN SOCIETY (THE ECONOMY)

Marketing's impact goes far beyond a single business; it plays a crucial role in the health and growth of the entire society and economy.

1. **CREATION OF UTILITY:** As mentioned in Week 1, marketing creates value by making products useful.
   - **Form Utility:** (In partnership with production) Converting raw materials into finished products customers want (e.g., turning crude oil into petrol).
   - **Place Utility:** Making products available in convenient locations (e.g., a corner shop).
   - **Time Utility:** Making products available when customers want them (e.g., storing grain until the off-season, 24/7 banking).
   - **Possession Utility:** Making it easy for customers to legally own the product (e.g., offering credit, making a sale).
2. **IMPROVES THE STANDARD OF LIVING:**

    - It introduces new and better products that make life easier and more enjoyable.
    - It creates competition, which often leads to *lower prices* and *higher quality*.
3. **GENERATION OF EMPLOYMENT:** The marketing industry is vast. It creates millions of jobs in fields like:
    - Advertising
    - Market Research
    - Sales
    - Logistics and Transportation
    - Warehousing
    - Retailing
    - Public Relations
4. **STIMULATES ECONOMIC GROWTH:** Marketing activities facilitate the exchange of goods and services. This flow of money is the lifeblood of the economy. When people buy, businesses grow, pay taxes, and hire more people, leading to national economic growth (GDP).
5. **EDUCATES AND INFORMS CONSUMERS:** Marketing (through advertising, packaging, and sales) provides consumers with essential information about product features, benefits, prices, and how to use products safely.
6. **FACILITATES NATIONAL AND INTERNATIONAL TRADE:** Marketing connects local producers (like a farmer in a village) to markets in cities or even in other countries, allowing them to sell more and earn more.

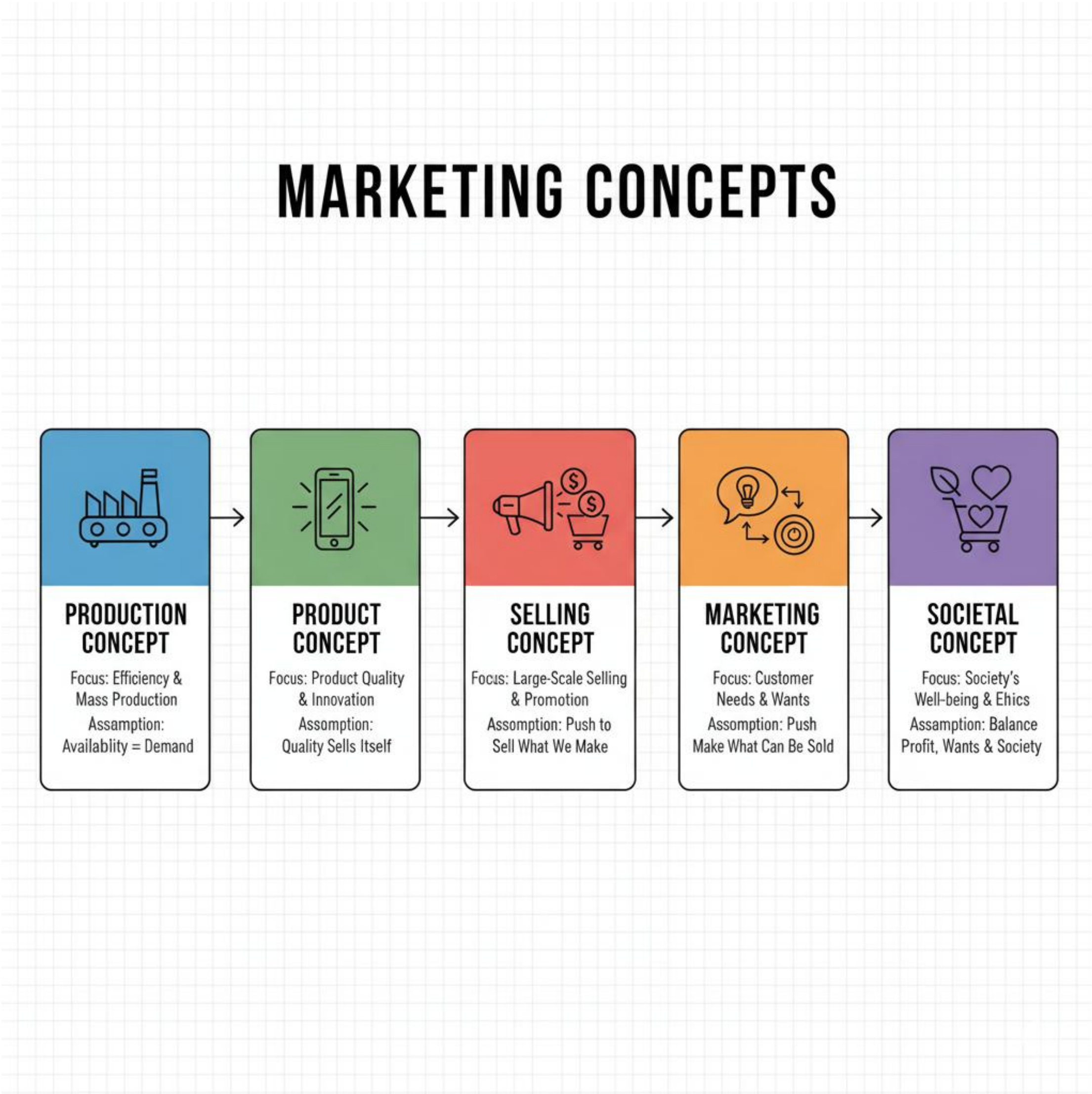
EVALUATION QUESTIONS

1. Why is marketing considered a "revenue center" for a business?
2. List and explain the four types of utility that marketing creates.
3. How does marketing help in "decision-making" within a firm?
4. Describe two ways in which marketing improves the standard of living for a society.
5. List five different types of jobs that are part of the marketing industry.

ASSIGNMENT QUESTIONS

1. "Marketing is a waste of money; it just makes products more expensive." Discuss this statement, providing arguments for and against it. (Hint: Think about competition and mass production).
2. Choose a local business in your area (e.g., a restaurant, a supermarket). Identify two specific ways that marketing is important to its survival and success.
3. Explain how a strong brand reputation, built by marketing, benefits a company.
4. What is the difference between "customer satisfaction" and "customer loyalty"? Why are both important?
5. "Without marketing, there would be less innovation." Do you agree or disagree? Justify your answer.

WEEK 3: MARKETING CONCEPTS



INTRODUCTION: WHAT ARE MARKETING CONCEPTS?

Marketing concepts, also known as **marketing philosophies** or **orientations**, are the guiding principles that dictate how a business approaches its marketing activities. They represent the evolution of marketing thought over time, from a focus on production to a focus on society.

A. THE PRODUCTION CONCEPT

1. **THE FOCUS:** Mass production and efficiency.
2. **THE ASSUMPTION:** Consumers will favor products that are **widely available and inexpensive (cheap)**.

3. **THE GOAL:** To achieve high production efficiency, low costs, and mass distribution.
4. **WHEN IT WORKS BEST:**
   - When demand for a product is *greater than* the supply.
   - When the product's cost is too high and needs to be brought down through economies of scale.
5. **EXAMPLE:** Henry Ford's Model T car. His philosophy was to perfect the production line so he could produce cars so cheaply that more people could afford them. His famous quote, "Any customer can have a car painted any color that he wants, so long as it is black," perfectly captures this concept.

B. THE PRODUCT CONCEPT

1. **THE FOCUS:** Quality, performance, and features.
2. **THE ASSUMPTION:** Consumers will favor products that offer the **highest quality, best performance, and most innovative features**.
3. **THE GOAL:** To make superior products and improve them continuously over time.
4. **THE DANGER:** This concept can lead to **"Marketing Myopia"**—a short-sighted focus on the *product* itself rather than the *customer's need* it is supposed to solve. A company might build a "better mousetrap," but customers may not want a better mousetrap; they may want a chemical spray or an exterminator service.
5. **EXAMPLE:** A technology company that keeps adding complex features to its software, making it harder to use, without asking customers what they actually need.

C. THE SELLING CONCEPT

1. **THE FOCUS:** Aggressive selling and promotion.
2. **THE ASSUMPTION:** Consumers **will not buy enough** of the firm's products unless it undertakes a large-scale selling and promotion effort.
3. **THE GOAL:** To sell what the company *makes*, rather than making what the market *wants*.

4. **WHEN IT'S USED:** This is common for "unsought goods"—products that people don't normally think of buying, such as life insurance, funeral plots, or blood donations.
5. **THE RISK:** This is a high-risk, "inside-out" approach. It focuses on short-term sales rather than long-term relationships. A customer tricked or pressured into a purchase will not be a loyal customer.

D. THE MARKETING CONCEPT

1. **THE FOCUS:** The customer's needs and wants.
2. **THE ASSUMPTION:** The key to achieving organizational goals is to be **more effective than competitors** in creating, delivering, and communicating superior customer value to its target markets.
3. **THE GOAL:** To satisfy customer needs profitably. The motto is: **"Find a need and fill it"** or "Make what you can sell."
4. **THE PILLARS:** This concept stands on four pillars:
    - **Target Market:** You can't be all things to all people; select a specific group to serve.
    - **Customer Needs:** Conduct market research to understand what they *really* need.
    - **Integrated Marketing:** All departments in the company (not just the marketing department) must work together to serve the customer.
    - **Profitability:** The aim is to make a profit by satisfying customers.
5. **EXAMPLE:** A restaurant that regularly surveys its customers and changes its menu based on their feedback.

E. THE SOCIETAL MARKETING CONCEPT

1. **THE FOCUS:** Customer needs, company profits, *and* society's long-term interests.
2. **THE ASSUMPTION:** Marketing strategy should deliver value to customers in a way that **maintains or improves both the consumer's and society's well-being**.
3. **THE GOAL:** To balance three concerns: **Company Profits, Consumer Wants, and Society's Interests (Human Welfare/Environment)**.

4. **WHY IT EMERGED:** This concept arose from concerns about the environmental impact of marketing (e.g., pollution from plastic packaging) and its social impact (e.g., fast-food chains contributing to obesity).
5. **EXAMPLE:** A company like The Body Shop, which promotes fair trade, uses recycled materials, and campaigns against animal testing, all while selling products and making a profit.

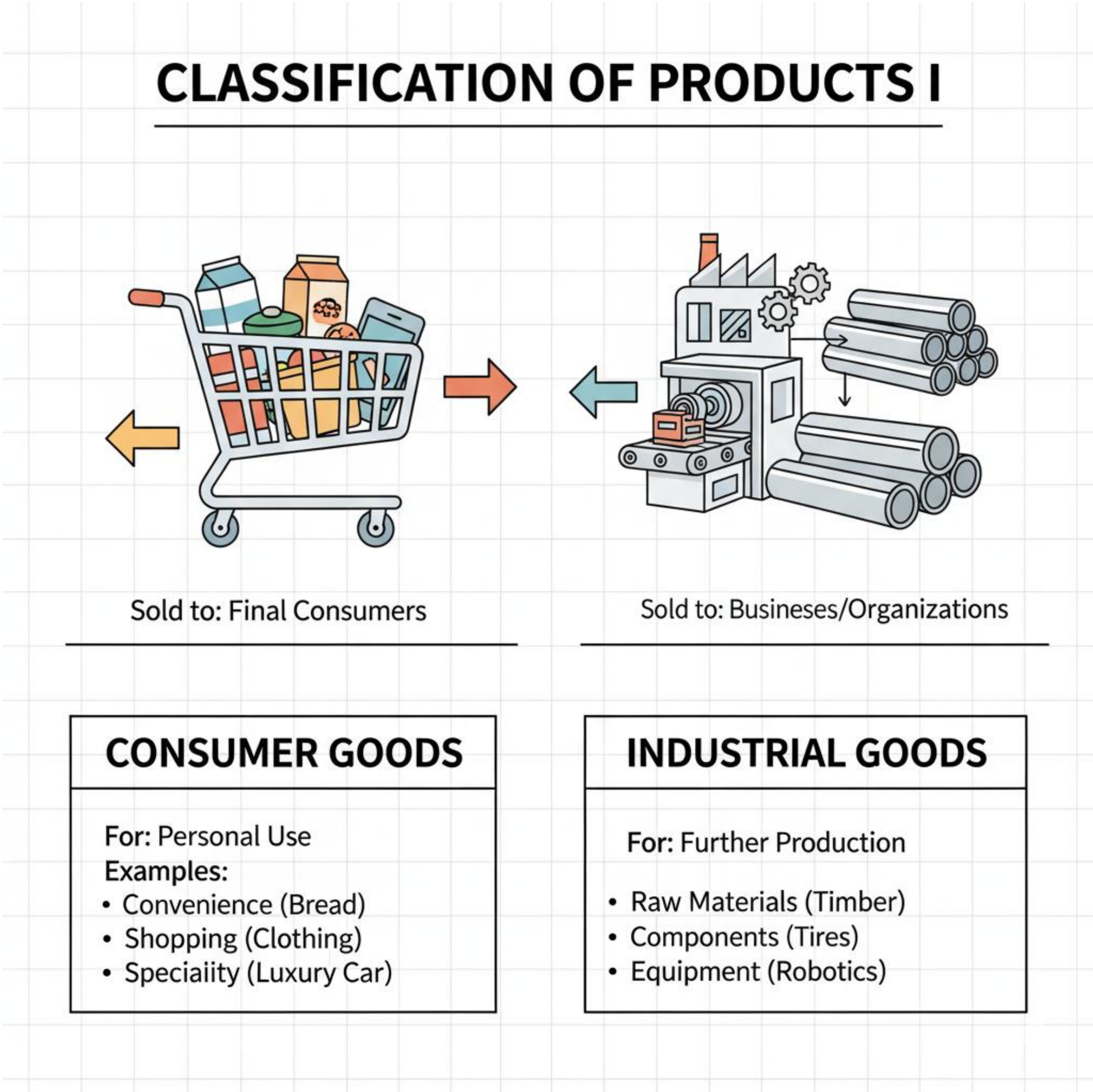
EVALUATION QUESTIONS

1. What is a "marketing concept" or "philosophy"?
2. Explain the core assumption of the Production Concept.
3. What is "Marketing Myopia," and which concept is most likely to cause it?
4. What is the difference between the Selling Concept and the Marketing Concept? (Hint: "inside-out" vs. "outside-in").
5. What are the three "bottom lines" that the Societal Marketing Concept seeks to balance?

ASSIGNMENT QUESTIONS

1. Arrange the five marketing concepts in the historical order they appeared. For each concept, write a single sentence that summarizes its guiding philosophy.
2. Think of a company in Nigeria that you believe follows the **Selling Concept**. Why do you think so?
3. Think of another company that follows the **Marketing Concept**. What does it do that shows it is customer-focused?
4. A company decides to switch from plastic bottles to biodegradable glass bottles. This increases its production cost. Which marketing concept is this company adopting? Explain your answer.
5. "The Selling Concept focuses on the needs of the seller; the Marketing Concept focuses on the needs of the buyer." Discuss this statement in detail.

WEEK 4: CLASSIFICATION OF PRODUCTS I



INTRODUCTION: WHAT IS A PRODUCT?

In marketing, a **product** is anything that can be offered to a market to satisfy a want or need. This is a broad definition that includes physical goods, services, events, persons, places, and ideas. Products can be classified in many ways. This week, we will classify them based on *who* the user is.

The broadest classification is:

1. **Consumer Goods** (Bought by final consumers)
2. **Industrial Goods** (Bought by businesses)

The key difference is the **PURPOSE** for which the product is bought. If a person buys a lawnmower for their own home, it is a consumer good. If a landscaping company buys the *same* lawnmower for its business, it is an industrial good.

A. CONSUMER GOODS

DEFINITION: Products and services bought by **final consumers** for their **personal consumption**.

Consumer goods can be sub-divided based on *how* consumers buy them:

1. **CONVENIENCE GOODS**
   - **Definition:** Products that customers buy frequently, immediately, and with a minimum of comparison and buying effort.
   - **Price:** Usually low.
   - **Distribution:** Widespread; must be available in many locations (e.g., supermarkets, kiosks).
   - **Promotion:** Relies on mass advertising.
   - **Examples:** Soft drinks (Coke), soap (Dettol), newspapers, bread, chewing gum.
2. **SHOPPING GOODS**
   - **Definition:** Products that customers buy less frequently and compare carefully on suitability, quality, price, and style.
   - **Price:** Higher than convenience goods.
   - **Distribution:** Selective; found in fewer places.
   - **Promotion:** Relies on advertising and personal selling.
   - **Examples:** Furniture, clothing, televisions, mobile phones, used cars.
3. **SPECIALTY GOODS**
   - **Definition:** Products with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort.
   - **Price:** Usually very high.
   - **Distribution:** Exclusive; available in only one or a few outlets in an area.

- **Promotion:** Relies on careful, targeted promotion and brand image. Buyers do not compare; they simply *want* that specific brand.
- **Examples:** Luxury cars (Rolls-Royce), designer watches (Rolex), specific high-end medical specialists.

4. **UNSOUGHT GOODS**
   - **Definition:** Products that the consumer either does not know about or knows about but does not normally think of buying.
   - **Marketing Strategy:** Require aggressive selling and promotion (the Selling Concept).
   - **Examples:** Life insurance, funeral plots, blood donations, encyclopedias.

B. INDUSTRIAL GOODS

DEFINITION: Products purchased by individuals and organizations for **further processing** or for **use in conducting a business**.

Industrial goods are sub-divided based on *how they are used* by the business:

1. **MATERIALS AND PARTS**
   - **Definition:** Goods that enter the manufacturer's product completely.
   - **Two Types:**
     - **Raw Materials:** Farm products (cotton, wheat) and natural products (crude oil, iron ore).
     - **Manufactured Materials & Parts:** Component materials (flour for a bakery, steel for a car) and component parts (tires for a car, microchips for a computer).
2. **CAPITAL ITEMS**
   - **Definition:** Long-lasting goods that facilitate the production or management of the finished product. They are the "tools" of the business.
   - **Two Types:**
     - **Installations:** Major, expensive items (e.g., factories, office buildings, large machinery, generators).

        - **Accessory Equipment:** Shorter-lived equipment that helps in production or office activities (e.g., computers, desks, power tools).
3. **SUPPLIES AND SERVICES**
    - **Definition:** Short-term goods and services (convenience goods of the industrial world) that do *not* become part of the finished product.
    - **Two Types:**
        - **Supplies:** Operating supplies (A4 paper, pens) and maintenance/repair items (paint, brooms).
        - **Business Services:** Intangible services (security, office cleaning, legal advice, equipment repair).

EVALUATION QUESTIONS

1. What is the main difference between a consumer good and an industrial good?
2. List the four sub-classifications of consumer goods.
3. Which type of consumer good is bought most frequently and with the least effort?
4. A designer Rolex watch is an example of which type of consumer good? Why?
5. What are "capital items"? Give one example of an "installation" and one of "accessory equipment."

ASSIGNMENT QUESTIONS

1. For each of the following items, classify it as a consumer good (convenience, shopping, specialty) or an industrial good (materials, capital, supply). Justify your answer.
    - (a) A bag of rice bought by a family.
    - (b) A bag of rice bought by a restaurant.
    - (c) A life insurance policy.
    - (d) A laptop bought for a student.
    - (e) A lawyer's services hired by a company.
2. Explain why a company would use different marketing strategies (price, promotion, distribution) for a convenience good (like milk) versus a shopping good (like a TV).

3. What are "unsought goods"? Why do they require the "Selling Concept" to be marketed effectively?
4. "Materials and Parts" are different from "Supplies." Explain this difference clearly.
5. Create a table that compares Convenience Goods, Shopping Goods, and Specialty Goods based on: (a) Price, (b) Distribution, and (c) Consumer's buying effort.

WEEK 5: MIDTERM EXAMINATION

(This week is for conducting the midterm examination based on Weeks 1-4.)

WEEK 6: CLASSIFICATION OF PRODUCTS II

INTRODUCTION

In Week 4, we classified products based on the *type of user*. This week, we will classify products based on their **TANGIBILITY** (whether you can touch them) and **DURABILITY** (how long they last).

A. DURABLE GOODS

1. **DEFINITION:** These are **tangible** (physical) goods that normally survive many uses and last for a long time (e.g., several years).
2. **CHARACTERISTICS:**
    - They are used repeatedly.

- They are often more expensive than other goods.
- They often require more personal selling, customer service, and warranties.
- The purchase is a major decision for the consumer.

3. **EXAMPLES:** Cars, refrigerators, furniture, televisions, washing machines, industrial machinery.

B. NON-DURABLE GOODS

1. **DEFINITION:** These are **tangible** (physical) goods that are normally consumed in one or a few uses.
2. **CHARACTERISTICS:**
   - They are used up or consumed quickly.
   - They are bought frequently.
   - They are usually low-priced.
   - They rely heavily on mass advertising and wide distribution (availability).
3. **EXAMPLES:** Soap, salt, bread, soft drinks, beer, petrol, biros, paper.

C. SERVICES

1. **DEFINITION:** These are **intangible** (non-physical) activities, benefits, or satisfactions that are offered for sale. When you buy a service, you do not own a physical object.
2. **EXAMPLES:**
   - A haircut (you don't own the haircut, you own the *result*).
   - A bus ride (you don't own the bus, you own the *transportation*).
   - Other examples: Banking, hotel stays, education, legal advice, healthcare, car repair.
3. **THE FOUR UNIQUE CHARACTERISTICS OF SERVICES (THE 4 "I"S)** Services are very different from physical goods, which makes them challenging to market. Their four unique characteristics are:
   - **1. INTANGIBILITY:**
     - **Meaning:** Services cannot be seen, tasted, felt, heard, or smelled before they are bought.

        - **Marketing Challenge:** Customers cannot "test drive" the service.
        - **Marketing Solution:** Marketers must provide "tangible cues" or evidence of quality. For example, a bank makes its building look solid and impressive; a lawyer wears a smart suit; a school shows off its graduation photos.
    - **2. INSEPARABILITY:**
        - **Meaning:** Services are produced and consumed at the same time. They cannot be separated from their provider (the person or machine).
        - **Marketing Challenge:** The customer is present during the service production (e.g., at the hairdresser's), and the provider *is* the service.
        - **Marketing Solution:** Focus on training staff well, as the staff's performance *is* the product.
    - **3. INCONSISTENCY (OR VARIABILITY):**
        - **Meaning:** The quality of a service depends on *who* provides it, as well as *when, where,* and *how* it is provided.
        - **Marketing Challenge:** It is difficult to maintain consistent quality. A teacher may be excellent in the morning but tired in the afternoon. A bank teller may be polite, while another is rude.
        - **Marketing Solution:** Invest in strong training, standardization (e.to-dos, scripts), and customer feedback systems.
    - **4. PERISHABILITY:**
        - **Meaning:** Services cannot be stored, saved, or inventoried for later use.
        - **Marketing Challenge:** If a service is not used, the revenue is lost forever. (e.g., an empty seat on an airplane, an empty hotel room for the night, an idle lawyer with no clients).
        - **Marketing Solution:** Use pricing strategies to manage demand (e.g., cheaper movie tickets on Tuesdays, "early bird" discounts at restaurants) or use appointment systems.

EVALUATION QUESTIONS

1. What is the main difference between a durable good and a non-durable good?
2. Give two examples of durable goods and two examples of non-durable goods.
3. What does it mean for a service to be "intangible"?
4. Explain "perishability" using the example of a hotel.
5. Why is "inseparability" a key feature of services?

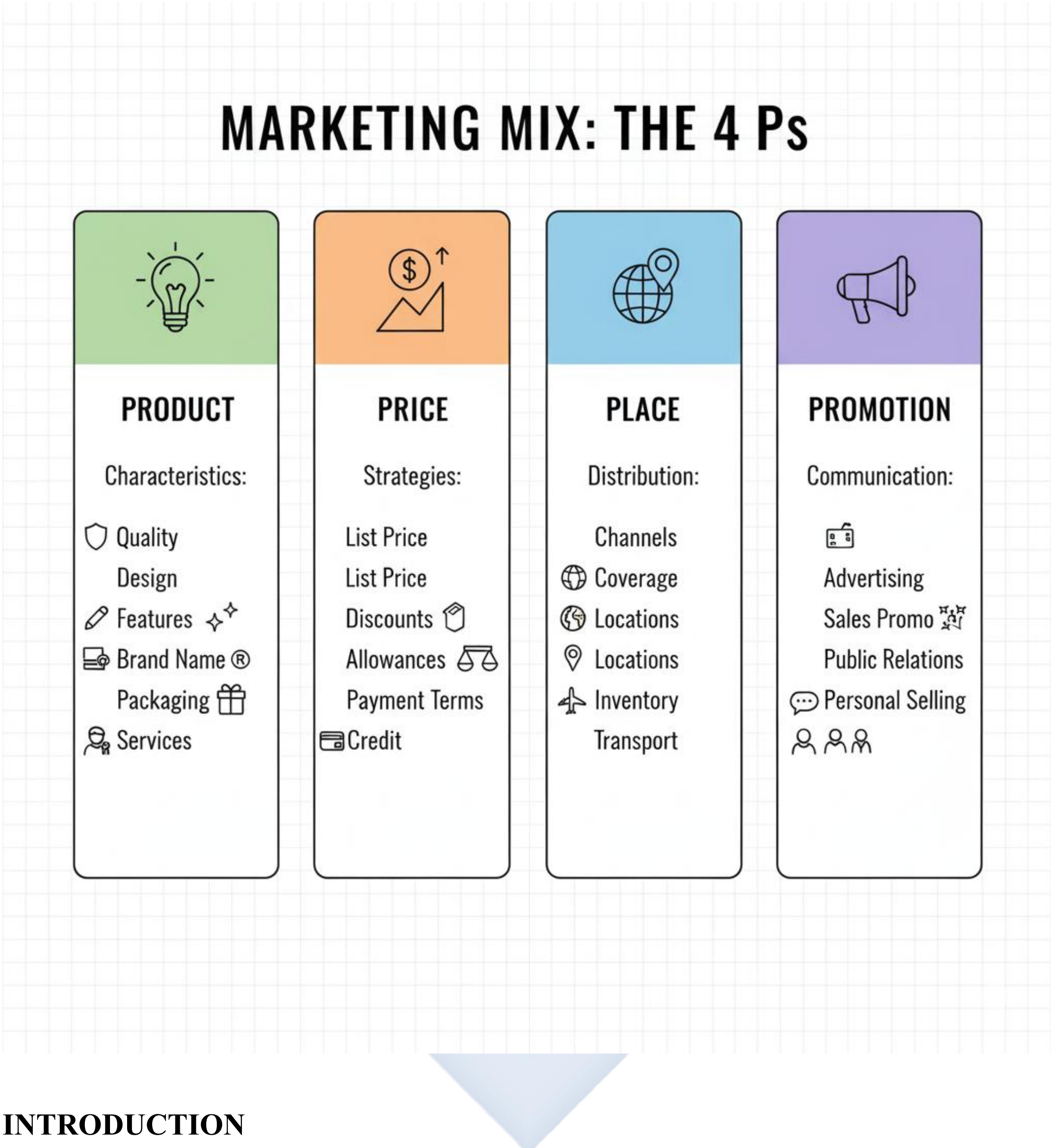
ASSIGNMENT QUESTIONS

1. Create a table with three columns: Durable Goods, Non-Durable Goods, and Services. List at least five products/services under each heading.
2. Explain "inconsistency (variability)" as a characteristic of services. Give a personal example of a time you received an inconsistent service (e.g., at a restaurant or bank).
3. A company's main product is education (a school). How can the school's marketing team deal with the "intangibility" of its product? (i.e., how can they make its quality visible to parents?).
4. How would the marketing strategy for a durable good (like a car) be different from that of a non-durable good (like Indomie noodles)?
5. Is electricity a durable good, a non-durable good, or a service? Justify your answer by checking it against the definitions.

WEEK 7: MIDTERM BREAK

(No academic content for this week.)

WEEK 8: THE MARKETING MIX (THE 4PS)



INTRODUCTION

The **Marketing Mix** is the set of controllable, tactical marketing tools that a firm blends to produce the response it wants in its **target market**. It is the "how-to" of marketing.

The most famous classification is the **4Ps of Marketing**:

1. **PRODUCT**
2. **PRICE**
3. **PLACE**
4. **PROMOTION**

A good marketing strategy involves finding the right *combination* of these four elements to satisfy customers and achieve company goals.

A. PRODUCT

- **WHAT IT IS:** This refers to the tangible good or intangible service that the business offers to the target market. It is the "value offering" that satisfies a customer's need.
- **KEY DECISIONS (THE "PRODUCT MIX"):**
  - **Quality:** What is the quality level of the product?
  - **Design & Features:** How does it look? What can it do?
  - **Brand Name:** What is the product's name and identity?
  - **Packaging:** How is the product protected and presented? (The "silent salesman").
  - **Warranties:** What guarantees are offered?
  - **After-Sales Service:** What support is provided after the purchase?

B. PRICE

- **WHAT IT IS:** This is the amount of money customers must pay to obtain the product. It is the only "P" that *generates* revenue; all others represent costs.
- **KEY DECISIONS (THE "PRICING MIX"):**
  - **List Price:** What is the official price?
  - **Discounts:** Are there reductions for paying early or buying in bulk?
  - **Allowances:** Will you give money back for trade-ins?
  - **Credit Terms:** Can customers "buy now, pay later"?
  - **Payment Periods:** How long do they have to pay?
- **NOTE:** Price must be set relative to the *value* the customer perceives. A low price may signal low quality, while a high price may drive customers away.

C. PLACE (DISTRIBUTION)

- **WHAT IT IS:** This refers to all company activities that make the product *available* to the target customers. It's about getting the right product to the right place at the right time.

- **KEY DECISIONS (THE "DISTRIBUTION MIX"):**
    - **Channels of Distribution:** How will the product move from the factory to the customer?
        - *Direct:* Producer -> Consumer (e.g., online store)
        - *Indirect:* Producer -> Wholesaler -> Retailer -> Consumer
    - **Logistics:** The physical movement of goods (transportation, warehousing).
    - **Market Coverage:** How many outlets will sell your product?
        - *Intensive:* (Everywhere - e.g., Coke)
        - *Selective:* (Some places - e.g., Samsung TVs)
        - *Exclusive:* (Few places - e.g., Rolex)
    - **Inventory Management:** How much stock to keep?

D. PROMOTION (MARKETING COMMUNICATION)

- **WHAT IT IS:** This refers to the activities that *communicate* the merits of the product and *persuade* target customers to buy it. It is how you *tell* customers about your product.
- **KEY DECISIONS (THE "PROMOTION MIX"):** This is a blend of five main tools:
    1. **Advertising:** Any paid, non-personal presentation of ideas, goods, or services by an identified sponsor (e.g., TV, radio, newspaper, billboards).
    2. **Sales Promotion:** Short-term incentives to encourage a quick purchase (e.g., "Buy One, Get One Free," discounts, contests, free samples).
    3. **Public Relations (PR):** Building good relations with the company's "publics" (e.g., media, government) by obtaining favorable, *unpaid* publicity (e.g., a press release, sponsoring an event).
    4. **Personal Selling:** A face-to-face presentation by the firm's sales force for the purpose of making sales and building relationships (e.g., car salesmen, insurance agents).
    5. **Direct Marketing:** Communicating directly with individual, targeted customers to get an immediate response (e.g., SMS marketing, email marketing, telemarketing).

EVALUATION QUESTIONS

1. Define the "Marketing Mix."
2. List the 4Ps of Marketing.
3. Which of the 4Ps is the only one that generates revenue?
4. What is the difference between "Place" and "Promotion"?
5. List the five main tools of the Promotion Mix.

ASSIGNMENT QUESTIONS

1. Choose a product you know well (e.g., a specific brand of soft drink, a mobile phone, or your school). Describe its entire Marketing Mix (its 4Ps).
    - **Product:** (Features, brand name, packaging)
    - **Price:** (Is it cheap, average, or expensive? Do they offer discounts?)
    - **Place:** (Where can you buy it? Is it sold everywhere or in special shops?)
    - **Promotion:** (How do you know about it? TV ads? Social media?)
2. Explain the difference between Advertising and Public Relations (PR).
3. Why is packaging considered part of the "Product" strategy?
4. A company wants to sell a new convenience good (e.g., a new biscuit). What kind of "Place" (distribution) strategy should it use: intensive, selective, or exclusive? Why?
5. What is the difference between "Personal Selling" and "Advertising"?

WEEK 9: THE MARKETING ENVIRONMENT

INTRODUCTION

The **Marketing Environment** consists of all the actors and forces *outside* the marketing department that affect a marketing manager's ability to build and maintain successful relationships with target customers.

The environment is in constant change, presenting both **opportunities** (which the company can exploit) and **threats** (which the company must defend against).

It is divided into two main parts:

1. **Internal (Micro) Environment**

2. **External (Macro) Environment**

A. THE INTERNAL ENVIRONMENT (MICRO-ENVIRONMENT)

- **DEFINITION:** These are the actors **close to the company** that affect its ability to serve its customers. The company can *influence* or *control* these factors.
- **COMPONENTS:**
    1. **THE COMPANY ITSELF:** Marketing must work in harmony with other departments.
        - **Top Management:** Sets the company's mission and objectives.
        - **Finance:** Finds the money to pay for marketing plans.
        - **Research & Development (R&D):** Designs the products.
        - **Operations/Production:** Makes the products.
        - **Human Resources (HR):** Hires the marketing staff.
    2. **SUPPLIERS:** These are the firms that provide the raw materials and resources needed to produce the goods. A problem with a supplier (e.g., a strike, high prices) will directly affect the company's marketing.
    3. **MARKETING INTERMEDIARIES:** These are other businesses that help the company promote, sell, and distribute its products.
        - **Resellers:** Wholesalers and retailers.
        - **Physical Distribution Firms:** Transport and warehousing companies.
        - **Marketing Services Agencies:** Ad agencies, market research firms.
    4. **CUSTOMERS:** The most important actors. The company must understand its different types of customers (e.g., consumer markets, business markets, government markets).
    5. **COMPETITORS:** To be successful, a company must provide greater customer value than its competitors. It must monitor their strategies.
    6. **PUBLICS:** Any group that has an actual or potential interest in or impact on the company's ability to achieve its objectives (e.g., media, government, local community, general public).

B. THE EXTERNAL ENVIRONMENT (MACRO-ENVIRONMENT)

- **DEFINITION:** These are the **larger societal forces** that affect the *entire* micro-environment. The company **cannot control** these forces but must *respond* to them.
- **COMPONENTS (Use the acronym PESTLE):**
    1. **POLITICAL/LEGAL FORCES:**
        - **Definition:** Laws, government agencies, and political stability.
        - **Impact:** Product safety laws, advertising regulations, trade policies, and political instability can all affect marketing.
    2. **ECONOMIC FORCES:**
        - **Definition:** Factors that affect consumer purchasing power and spending patterns.
        - **Impact:** Inflation, interest rates, unemployment, and income levels determine whether customers can afford to buy products.
    3. **SOCIO-CULTURAL FORCES:**
        - **Definition:** Society's basic values, perceptions, preferences, and behaviors.
        - **Impact:** Trends in lifestyle, fashion, health-consciousness (e.g., the move towards "natural" foods), and cultural beliefs affect what people buy.
    4. **TECHNOLOGICAL FORCES:**
        - **Definition:** New technologies that create new products and market opportunities.
        - **Impact:** The internet, social media, AI, and automation have completely changed how companies market and sell products.
    5. **ECOLOGICAL (NATURAL) FORCES:**
        - **Definition:** The physical environment and the natural resources needed as inputs or affected by marketing.
        - **Impact:** Climate change, pollution concerns, and the demand for "sustainable" or "green" products.
    6. **DEMOGRAPHIC FORCES:**
        - **Definition:** The study of human populations in terms of size, density, location, age, gender, race, and occupation.

- **Impact:** Changes in the population (e.g., an aging population, a youth bulge, migration to cities) create new markets and new needs.

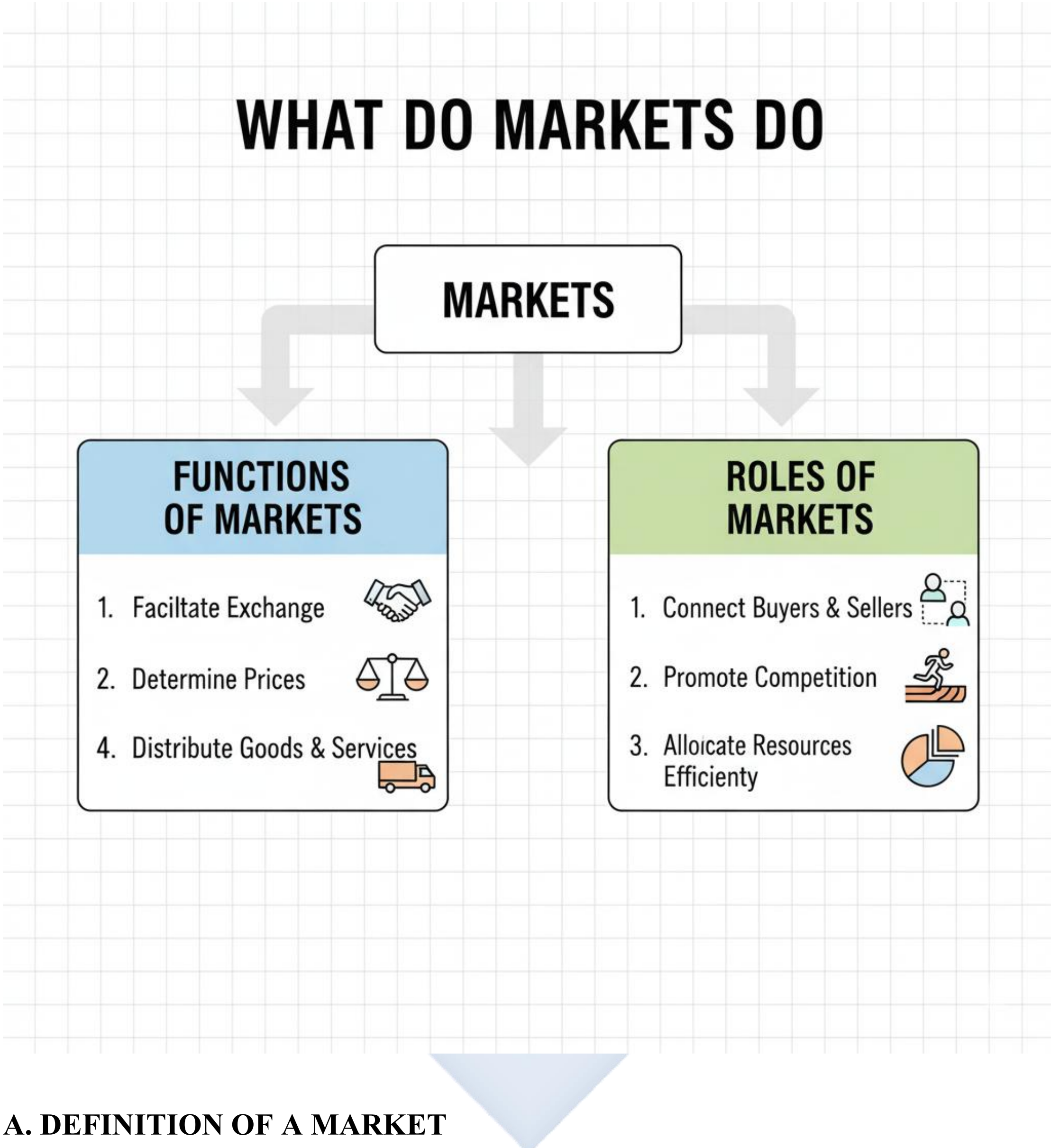
EVALUATION QUESTIONS

1. What is the "Marketing Environment"?
2. What is the main difference between the Micro-environment and the Macro-environment?
3. List the six main actors in the Micro-environment.
4. What does the acronym PESTLE stand for?
5. How can the "Economic Environment" (e.g., high inflation) affect a company's marketing?

ASSIGNMENT QUESTIONS

1. Explain why "Competitors" are considered part of the *internal* (micro) environment, even though they are *outside* the company.
2. Choose a company (e.g., MTN Nigeria). Give one example of an "opportunity" and one "threat" it faces from its **Technological Environment**.
3. Give one example of an "opportunity" and one "threat" it faces from its **Political/Legal Environment**.
4. Why must the marketing department work closely with the "Finance" and "Production" departments?
5. What is a "Public"? Give two examples of "publics" and explain how they could positively or negatively impact a company.

WEEK 10: WHAT DO MARKETS DO (FUNCTIONS AND ROLES)



A. DEFINITION OF A MARKET

The word "market" has two main definitions:

1. **TRADITIONAL DEFINITION:** A **physical place** where buyers and sellers meet to exchange goods and services (e.g., Onitsha Main Market, a farmer's market, a stock exchange).
2. **MARKETING/ECONOMIC DEFINITION:** The set of all **actual and potential buyers** of a product or service. This definition focuses on the *people* and their *demand*, not the location. (e.g., "the soft drink market," "the smartphone market").

B. FUNCTIONS OF A MARKET (MARKETING FUNCTIONS)

These are the *activities* or *jobs* that must be performed by the marketing system (by producers, intermediaries, or consumers) to get goods from the producer to the consumer. They are often grouped into three categories.

1. **EXCHANGE FUNCTIONS (THE "WHAT"):**
   - **Buying:** The function of sourcing, selecting, and purchasing the right products at the right price.
   - **Selling:** The function of identifying potential customers, creating demand (through promotion), and transferring ownership (making a sale).
2. **PHYSICAL DISTRIBUTION FUNCTIONS (THE "WHERE" AND "WHEN"):**
   - **Transportation:** The physical movement of goods from the point of production to the point of consumption. This creates **Place Utility**.
   - **Storage (Warehousing):** Holding and protecting goods from the time they are produced until they are needed. This creates **Time Utility**.
3. **FACILITATING FUNCTIONS (THE "HELPERS"):**
   - **Financing:** Providing the cash and credit necessary for the production, transport, and sale of goods.
   - **Risk-Bearing:** Assuming the risks associated with the business, such as risk of theft, spoilage, damage, or the product simply not selling.
   - **Standardization & Grading:** Sorting products into uniform classes or qualities (e.g., Grade A eggs, Grade B eggs). This makes buying and selling easier.
   - **Market Information (Market Research):** Gathering and analyzing data about customers, competitors, and prices to make good marketing decisions.

C. ROLES OF A MARKET (IN THE ECONOMY)

These are the *purposes* or *impacts* that markets have on the wider economy.

1. **PRICE DETERMINATION:** The market is the mechanism where the forces of **Supply** (from sellers) and **Demand** (from buyers) interact to determine the "market price" of a product.
2. **RESOURCE ALLOCATION:** The market "signals" where society's scarce resources (labor, capital, land) should be used.
    - If the price of a product is high and it is very profitable (e.g., smartphones), more businesses will enter that market and allocate resources to producing it.
    - If a product is unprofitable (e.g., typewriters), resources will be moved *away* from it.
3. **ECONOMIC STIMULATION:** Markets promote competition. Competition forces businesses to be more efficient, innovative, and to offer better quality and lower prices, which stimulates economic growth.
4. **FACILITATING EXCHANGE:** The primary role of a market is to provide an organized "place" (physical or virtual) where buyers and sellers can connect and conduct transactions easily.
5. **SIGNAL FOR PRODUCTION:** Market prices and demand levels act as a signal to producers, telling them *what* to produce, *how much* to produce, and *for whom* to produce.

EVALUATION QUESTIONS

1. What is the difference between the traditional and the modern definitions of a market?
2. List the three main categories of marketing functions.
3. Which function creates "Time Utility"?
4. Which function involves sorting products into uniform sizes and qualities?
5. How does a market determine the price of a product?

ASSIGNMENT QUESTIONS

1. Explain the "Risk-Bearing" function of marketing. List three specific risks that a supermarket owner must bear.
2. What is the "Resource Allocation" role of a market? Explain what would happen if the demand for university education suddenly doubled.

3. Using the internet or a dictionary, define "Supply" and "Demand."
4. Why is "Market Information" considered a facilitating function? What would happen if a business had no market information?
5. Is Facebook (Meta) a "market"? Justify your answer using the modern definition.

WEEK 11: REVISION

A. KEY CONCEPT SUMMARY

- **WEEK 1 (Introduction):** Marketing is the *process* of identifying, anticipating, and satisfying customer needs profitably. Its nature is customer-centric, and its scope includes goods, services, ideas, places, etc.
- **WEEK 2 (Importance):** Marketing is vital for *businesses* (generates revenue, builds brands) and for *society* (creates jobs, improves standard of living, creates utility).
- **WEEK 3 (Concepts):** These are the philosophies guiding a business. They evolved from the **Production Concept** (focus on efficiency), to the **Product Concept** (focus on quality), to the **Selling Concept** (focus on aggressive sales), to the **Marketing Concept** (focus on customer needs), and finally to the **Societal Marketing Concept** (focus on customer needs + society's welfare).
- **WEEK 4 & 6 (Products):** Products are anything that satisfies a need.
    - **By User: Consumer Goods** (for personal use: Convenience, Shopping, Specialty, Unsought) and **Industrial Goods** (for business use: Materials/Parts, Capital Items, Supplies/Services).
    - **By Tangibility: Durable Goods** (long-lasting), **Non-Durable Goods** (consumed quickly), and **Services** (intangible, inseparable, inconsistent, perishable).
- **WEEK 8 (Marketing Mix):** The 4Ps are the controllable tools of marketing.
    - **Product:** The offering (quality, brand, package).
    - **Price:** The amount paid (discounts, credit).
    - **Place:** The distribution (channels, logistics).
    - **Promotion:** The communication (advertising, PR, sales promo, personal selling, direct marketing).
- **WEEK 9 (Environment):** The forces that create opportunities and threats.
    - **Micro (Internal):** Company, Suppliers, Intermediaries, Customers, Competitors, Publics. (Controllable/Influenceable).
    - **Macro (External):** PESTLE - Political, Economic, Socio-Cultural, Technological, Ecological, Demographic. (Uncontrollable).

- **WEEK 10 (Markets):** A market is the set of actual/potential buyers. Its *functions* are the activities (Exchange, Physical, Facilitating). Its *roles* are the economic impacts (Price Determination, Resource Allocation).

B. INTEGRATED REVISION QUESTIONS

1. The "Selling Concept" is most often used for which *type* of consumer good? (Week 3 & 4)
2. How would the **Marketing Mix (4Ps)** for a *Specialty Good* (like a Rolex watch) be different from the mix for a *Convenience Good* (like bread)? (Week 4 & 8)
3. The rise of the internet is a change in which part of the **Marketing Environment**? How has this change affected the "Place" and "Promotion" elements of the marketing mix? (Week 9 & 8)
4. What is the main difference between the **Product Concept** and the **Marketing Concept**? (Week 3)
5. "Services" have four unique characteristics (the 4 "I"s). List two of them and explain what they mean. (Week 6)
6. A "Buy One, Get One Free" offer is an example of which tool in the **Promotion Mix**? (Week 8)
7. A company deciding to use "sustainable, green" packaging is balancing its strategy based on the **Societal Marketing Concept** and responding to which part of the **Macro-Environment**? (Week 3 & 9)
8. Explain the "Storage" function of marketing. Which type of "utility" does it create? (Week 10 & 2)
9. Why is "Marketing Myopia" a danger of the **Product Concept**? (Week 3)
10. Who are "Marketing Intermediaries," and in which part of the **Marketing Environment** do they belong? (Week 9)

C. REVISION ASSIGNMENT

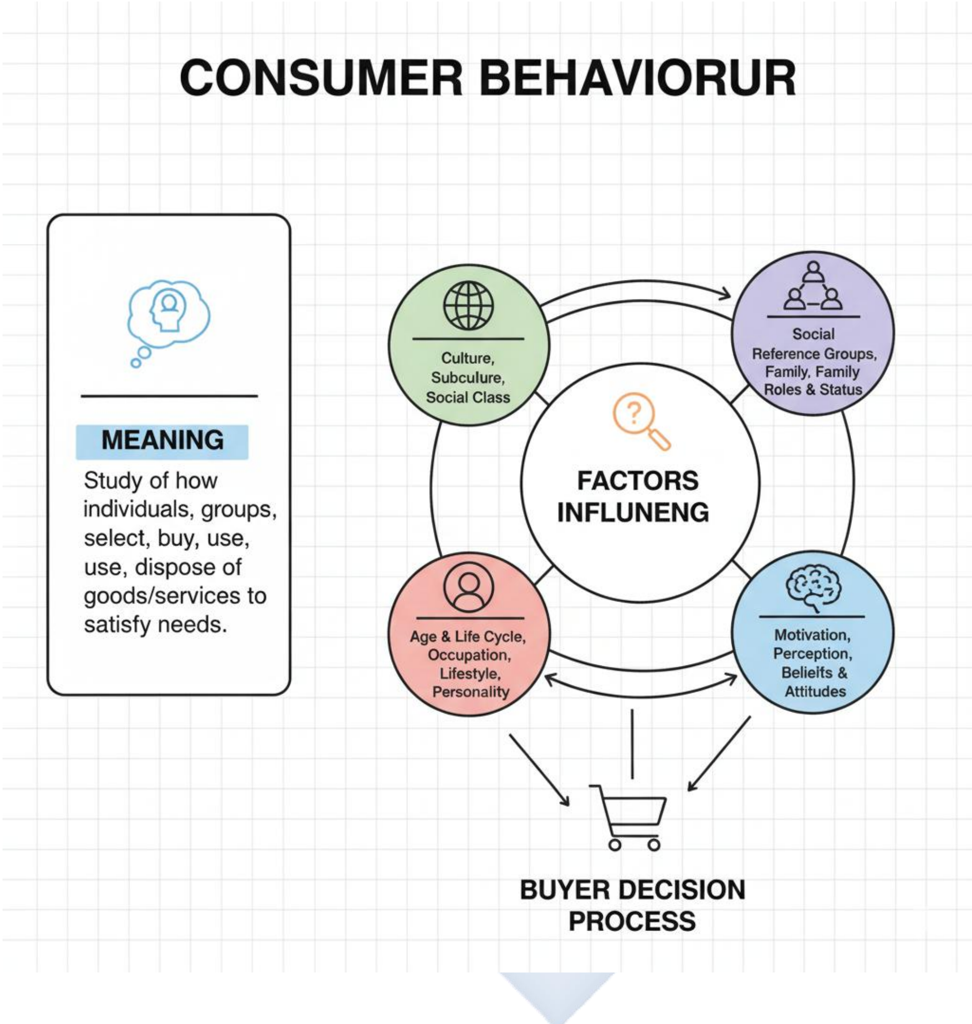
1. Write a short essay (3 paragraphs) on the topic: "The Evolution of Marketing Thought," describing how marketing philosophies have changed from the Production Concept to the Societal Marketing Concept.

2. Define the Marketing Mix. Choose a service (e.g., a bank or a restaurant) and describe its 4Ps. Pay special attention to the challenges of marketing a service.
3. Draw a diagram showing the Marketing Environment. Label the Micro-Environment and the Macro-Environment (PESTLE). Give one example for *each* PESTLE factor of how it could affect a business that sells soft drinks.

SS1 MARKETING LESSON NOTES

SECOND TERM

WEEK 1: CONSUMER BEHAVIOUR



A. MEANING OF CONSUMER BEHAVIOUR

Consumer Behaviour is the in-depth study of **how** individuals, groups, or organizations select, buy, use, and dispose of ideas, goods, and services to satisfy their needs and wants.

It is a complex field that goes far beyond the simple act of purchasing. It tries to answer the following questions:

- **WHAT** do they buy? (Which product or brand?)

- **WHY** do they buy it? (What need are they trying to satisfy? What is their motivation?)
- **WHEN** do they buy it? (What time of day/week/year? Is it a routine purchase or a special occasion?)
- **WHERE** do they buy it? (Which shop? Online? From a local market?)
- **HOW** do they buy it? (Do they research heavily? Do they buy on impulse? Do they pay with cash or credit?)
- **HOW** do they use and dispose of it? (Do they use it as intended? Do they recycle the packaging? Do they become advocates or complainers after the purchase?)

Understanding consumer behaviour is the cornerstone of the **Marketing Concept** (from First Term). A company that does not understand *why* its customers behave a certain way cannot hope to satisfy their needs.

B. FACTORS INFLUENCING CONSUMER BEHAVIOUR

There are four major categories of factors that influence a person's buying decisions. These factors are complex, interrelated, and provide a deep understanding of the consumer.

1. CULTURAL FACTORS

These are the broadest and deepest influences on a consumer.

- **CULTURE:** This is the most fundamental set of values, perceptions, wants, and behaviours learned by an individual from their family and other key institutions. Culture dictates what is considered "normal." (e.g., the food we eat, the clothes we wear, our concept of family).
- **SUBCULTURE:** These are "groups within a culture" that share common life experiences and value systems. Subcultures can be based on:
    - **Nationality:** (e.g., Yoruba, Igbo, Hausa cultures within Nigeria, each with unique preferences for food, clothing, and ceremonies).
    - **Religion:** (e.g., Religious beliefs can forbid the consumption of certain products like pork or alcohol).

- **Geographical Regions:** (e.g., People in riverine areas have different needs from people in savanna regions).
- **SOCIAL CLASS:** These are relatively permanent and ordered divisions in a society whose members share similar values, interests, and behaviours. It is not just about money, but a combination of:
  - Occupation
  - Income
  - Education
  - Wealth

2. SOCIAL FACTORS

These factors relate to how a person interacts with others.

- **REFERENCE GROUPS:** Groups that a person uses as a point of comparison or "reference" in forming their attitudes or behaviour.
  - **Membership Groups:** Groups the person belongs to (e.g., family, friends, classmates, church members).
  - **Aspirational Groups:** Groups the person *wishes* to belong to (e.g., a student aspiring to be like a famous musician or footballer, and buying the brands they endorse).
  - **Dissociative Groups:** Groups whose values or behaviours an individual rejects (e.g., a person may *avoid* buying a brand associated with a political party they dislike).
- **FAMILY:** The family is the **most important consumer buying organization** in society. Marketers are interested in the roles played by different family members (husband, wife, children).
  - **Initiator:** The person who first suggests the idea of buying.
  - **Influencer:** The person whose views influence the final decision (e.g., a child demanding a specific brand of cereal).
  - **Decider:** The person who ultimately makes the buying decision.
  - **Buyer:** The person who physically makes the purchase.
  - **User:** The person who consumes the product.
- **ROLES AND STATUS:** A person belongs to many groups. Their "role" is the set of activities they are expected to perform, and each role carries a

"status" reflecting the esteem given to it by society. (e.g., A woman may play the role of a Brand Manager, a wife, and a mother. She will buy different clothes for each role).

3. PERSONAL FACTORS

These are the characteristics unique to the individual.

- **AGE AND LIFE-CYCLE STAGE:** People's needs and wants change as they age. Marketers often define target markets by their life-cycle stage (e.g., Bachelor, Newly Married, Full Nest, Empty Nest).
- **OCCUPATION:** A person's job affects the goods they buy. (e.g., A construction worker buys rugged work boots, while an office manager buys formal suits).
- **ECONOMIC SITUATION:** A person's financial situation (disposable income, savings, debt) directly impacts their product choices.
- **LIFESTYLE:** This is a person's pattern of living, expressed in their **AIOs (Activities, Interests, Opinions)**. It's about "who a person is" beyond their social class or occupation. (e.g., A person with a "health-conscious" lifestyle will buy organic food and gym memberships).
- **PERSONALITY AND SELF-CONCEPT:** Personality refers to the unique psychological characteristics that lead to consistent responses. "Self-concept" is the idea that "we are what we own." People buy products that reflect or enhance their identity.

4. PSYCHOLOGICAL FACTORS

These are the internal, mental processes that influence choice.

- **MOTIVATION:** A "motive" is a need that is sufficiently pressing to direct the person to seek satisfaction.
  - **Maslow's Hierarchy of Needs:** A key theory that categorizes needs:
    1. **Physiological:** (Hunger, thirst) - Basic survival needs.
    2. **Safety:** (Security, protection) - e.g., insurance, burglar bars.

3. **Social:** (Sense of belonging, love) - e.g., buying brands that friends use.
4. **Esteem:** (Self-esteem, recognition, status) - e.g., buying a luxury watch.
5. **Self-Actualization:** (Self-development, creativity) - e.g., taking a challenging course.

- **PERCEPTION:** The process by which people select, organize, and interpret information to form a meaningful picture of the world. People can perceive the *same* thing differently due to:
    - **Selective Attention:** We screen *out* most information.
    - **Selective Distortion:** We *twist* information to fit our existing beliefs.
    - **Selective Retention:** We *remember* good points about brands we like and forget good points about brands we dislike.
- **LEARNING:** Changes in behaviour arising from experience.
- **BELIEFS AND ATTITUDES:** A **belief** is a descriptive thought a person holds about something. An **attitude** is a person's consistently favourable or unfavourable evaluation, feeling, and tendency towards an object or idea. Attitudes are very difficult to change.

EVALUATION QUESTIONS

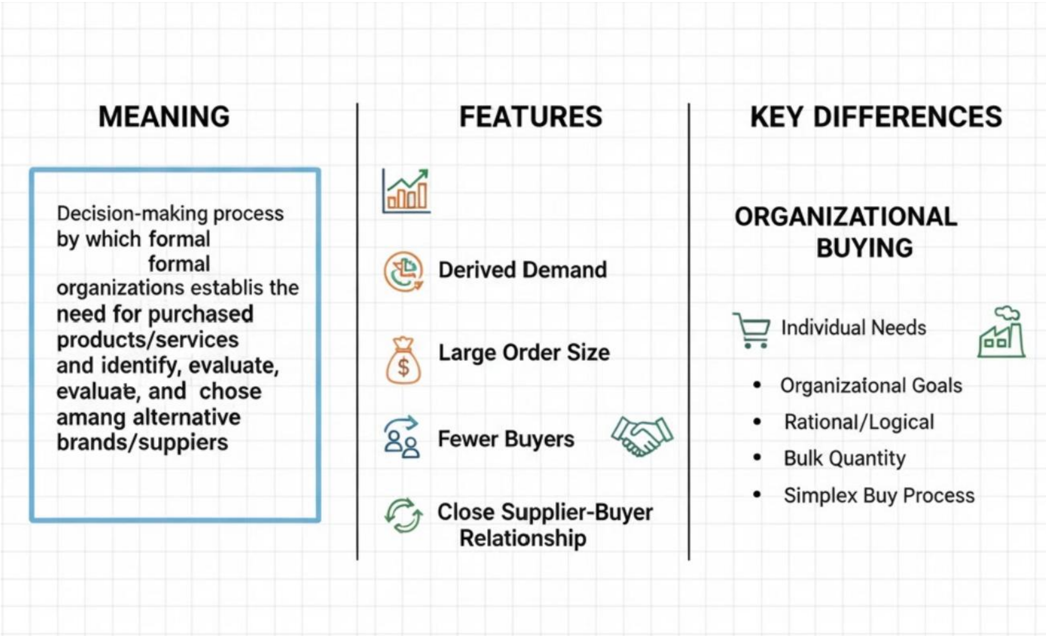
1. Define Consumer Behaviour, explaining what questions it seeks to answer.
2. List the four major categories of factors influencing consumer behaviour.
3. What is the difference between "Culture" and "Subculture"? Give one example of each.
4. Explain the five roles within the family buying unit (Initiator, Influencer, etc.).
5. What are the five levels of Maslow's Hierarchy of Needs?

ASSIGNMENT QUESTIONS

1. What is a "reference group"? Describe an "aspirational group" for a student your age and explain how it might influence their purchasing decisions.
2. Choose a product you recently bought. Analyse your decision to buy it using the **Personal Factors** (Age, Economic Situation, Lifestyle, Personality).
3. Explain "Selective Distortion" and "Selective Retention" in your own words.

4. Why is the family considered the most important consumer buying organization?
5. What is the difference between a "Belief" and an "Attitude"? Why is it important for marketers to understand this difference?

WEEK 2: ORGANIZATIONAL BUYING BEHAVIOUR



A. MEANING OF ORGANIZATIONAL BUYING BEHAVIOUR

Organizational Buying Behaviour (also known as Industrial Buying Behaviour) is the decision-making process by which **formal organizations** (such as businesses, government agencies, and institutions like schools or hospitals) establish the need for purchased products and services, and identify, evaluate, and choose among alternative brands and suppliers.

While the *goal* is still to satisfy a need, the *process* and *motives* are very different from consumer behaviour.

B. KEY FEATURES OF ORGANIZATIONAL BUYING

This behaviour has several characteristics that distinguish it from consumer buying.

1. MARKET STRUCTURE AND DEMAND

- **FEWER BUT LARGER BUYERS:** The organizational market typically has far fewer buyers than the consumer market, but each buyer purchases in much larger quantities. (e.g., A single company like Dangote Cement buys more trucks than thousands of individual consumers combined).

- **DERIVED DEMAND:** This is a core concept. Organizational demand is **derived** from the demand for final consumer goods. (e.g., A bakery does not buy flour because it wants flour; it buys flour because *consumers* want bread. If demand for bread falls, the bakery's demand for flour also falls).
- **INELASTIC DEMAND:** The total demand for many organizational products is not affected much by short-term price changes. (e.g., A car company's demand for steel will not change much if the price of steel increases slightly, as they *must* have steel to build cars).
- **FLUCTUATING DEMAND (THE BULLWHIP EFFECT):** A small change in consumer demand can cause a massive change in organizational demand.

2. THE NATURE OF THE BUYING UNIT

- **THE "BUYING CENTER":** This is the group of people within an organization who participate in the buying decision. This is not a fixed or formal department but a "set of roles." The buying center includes:
    - **USERS:** The people who will actually *use* the product (e.g., factory workers, secretaries, IT staff). They often initiate the purchase.
    - **INFLUENCERS:** People who provide technical expertise or help define specifications (e.g., engineers, IT managers, consultants).
    - **BUYERS (PURCHASING AGENTS):** The people with the formal authority to select the supplier and negotiate terms.
    - **DECIDERS:** The people (often high-level management) with the formal or informal power to approve the final supplier.
    - **GATEKEEPERS:** People who control the flow of information to others (e.g., a personal assistant, a purchasing agent who blocks a salesperson from seeing the CEO).

3. THE DECISION PROCESS

- **MORE COMPLEX:** Decisions are more complex, involving large sums of money, technical specifications, and economic considerations.
- **MORE FORMALIZED:** The process is highly structured, with formal policies, purchase orders, and contracts.

- **MORE PROFESSIONAL:** Buying is done by trained purchasing agents or a committee.
- **RELATIONSHIP-FOCUSED:** Organizations often seek to build long-term, stable relationships with trusted suppliers.

C. DIFFERENCES BETWEEN CONSUMER & ORGANIZATIONAL BEHAVIOUR

FEATURE	CONSUMER BUYING BEHAVIOUR (CBB)	ORGANIZATIONAL BUYING BEHAVIOUR (OBB)
PURPOSE	Personal, family, or household consumption.	Use in operations, further production, or resale to others.
DEMAND	Direct demand.	**Derived demand.**
BUYING UNIT	Individual or family (household).	**Buying Center** (Users, Influencers, Buyers, Deciders, Gatekeepers).
BUYER	Amateur (the consumer).	**Professional** (Purchasing agents, managers).
DECISION PROCESS	Often simple, informal, and fast. Can be emotional.	Often complex, formal, and long. Is rational and evidence-based.
RELATIONSHIP	Often short-term, transactional.	Focus on building **long-term relationships** with suppliers.
NUMBER OF BUYERS	Mass market (many small buyers).	Few, large buyers.

D. TYPES OF ORGANIZATIONAL BUYING SITUATIONS

1. **STRAIGHT REBUY:**
   - **What it is:** A routine re-purchase of a standard item from the same supplier without any changes.
   - **Example:** A school's administrative office re-ordering A4 paper or biros from its regular supplier.

   - **Process:** Fast and simple; handled routinely by the purchasing department.
2. **MODIFIED REBUY:**
   - **What it is:** The buyer wants to *modify* some aspect of the purchase—such as the product specifications, price, terms, or even the supplier.
   - **Example:** The school wants to buy new computers that are faster and have more memory than its old ones. It will look at a few suppliers.
   - **Process:** More complex than a straight rebuy; involves more people from the buying center.
3. **NEW TASK (OR NEW BUY):**
   - **What it is:** The organization is buying a product or service for the *first time*.
   - **Example:** The school decides to install a new solar power system for the entire campus.
   - **Process:** The most complex and riskiest situation. The full buying center is involved, the information search is extensive, and the decision takes a long time.

EVALUATION QUESTIONS

1. Define Organizational Buying Behaviour.
2. What is "Derived Demand"? Give an example.
3. List the five roles within the "Buying Center."
4. What is the difference between a "Straight Rebuy" and a "Modified Rebuy"?
5. List three key differences between Consumer Buying Behaviour and Organizational Buying Behaviour.

ASSIGNMENT QUESTIONS

1. Explain the role of the "Gatekeeper" in the buying center. Why is this person important for a salesperson to identify?
2. "A small 10% drop in consumer demand for shoes could cause a 50% drop in demand for new shoemaking machinery." This is an example of which feature of OBB? Explain why this happens.

3. Describe a "New Task" buying situation for a hospital. What steps do you think the hospital would take to make this purchase?
4. Why is the organizational buying process described as more "rational" and "professional" than the consumer process?
5. A university wants to hire a new security company for its campus. Classify this as a Straight Rebuy, Modified Rebuy, or New Task, and justify your answer.

WEEK 3: THE MARKETING PLAN

A. MEANING OF A MARKETING PLAN

A **Marketing Plan** is a **comprehensive, formal, written document** that outlines the marketing strategies and tactics for a product, brand, or organization for a specific future time period (usually one year).

It is a "roadmap" that answers three key questions:

1. **WHERE are we now?** (Situation Analysis)
2. **WHERE do we want to go?** (Objectives)
3. **HOW do we get there?** (Strategy and Tactics)

It is not just a random collection of ideas; it is a logical, step-by-step plan that connects objectives to actions and provides a basis for control.

B. IMPORTANCE OF A MARKETING PLAN

A well-researched and written plan is essential for success.

1. **PROVIDES A ROADMAP AND FOCUS:** It gives the entire organization a clear set of goals and a unified direction to follow.
2. **AIDS IN COORDINATION:** It ensures that all departments (Marketing, Finance, Production) are working together towards the same objectives.
3. **FACILITATES CONTROL AND MONITORING:** The plan sets standards (benchmarks) against which progress can be measured. It allows managers to see what is working and what is not.
4. **HELPS SECURE RESOURCES/FUNDING:** A formal plan is necessary to convince top management (or investors/banks) to allocate a budget for marketing activities.
5. **FORCES SYSTEMATIC THINKING:** The planning *process* itself forces managers to think critically about the future, anticipate changes, and prepare for threats and opportunities.

C. COMPONENTS OF A MARKETING PLAN

A detailed marketing plan contains several standard sections in a specific order.

1. EXECUTIVE SUMMARY

- A brief (1-2 page) overview of the *entire* plan's main goals and recommendations.
- It is written for busy top executives who need to grasp the plan's essentials quickly.
- (Note: It is usually written *last*, but placed *first*).

2. CURRENT MARKETING SITUATION (SITUATION ANALYSIS)

- This is the "Where are we now?" section. It provides a deep analysis of the market.
- **MARKET ANALYSIS:** Details about the target market, its size, growth rate, and key trends.
- **CUSTOMER ANALYSIS:** Who are the customers? What are their needs? (Links to Week 1).
- **COMPETITOR ANALYSIS:** Who are the key competitors? What are their strategies, strengths, and weaknesses?
- **INTERNAL ANALYSIS:** An honest look at the company's own performance.
- **SWOT ANALYSIS:** This is the most crucial part of the situation analysis, summarizing everything into a simple framework:
    - **S**TRENGTHS (Internal, Positive): e.g., strong brand name, skilled staff.
    - **W**EAKNESSES (Internal, Negative): e.g., old factory, poor distribution.
    - **O**PPORTUNITIES (External, Positive): e.g., a new market opening up, a competitor failing.
    - **T**HREATS (External, Negative): e.g., a new government regulation, rising raw material costs.

3. MARKETING OBJECTIVES

- This is the "Where do we want to go?" section.
- It defines what the plan aims to achieve. Objectives should be **SMART**:
    - **S**PECIFIC: (e.g., "Increase sales of our new product").
    - **M**EASURABLE: (e.g., "Increase sales by 20%").
    - **A**CHIEVABLE: (Is 20% realistic?).
    - **R**ELEVANT: (Does this goal help the company's overall mission?).
    - **T**IME-BOUND: (e.g., "...within the next 12 months.").
- **Example of a SMART Objective:** "To achieve a 15% market share in the Lagos region for our 'Eco-Soap' brand by December 31st, 2026."

4. MARKETING STRATEGY

- This is the "big picture" logic of *how* the objectives will be achieved.

- **S.T.P. (SEGMENTATION, TARGETING, POSITIONING):**
  - **Segmentation:** Dividing the total market into smaller, distinct groups.
  - **Targeting:** Selecting which group(s) to serve.
  - **Positioning:** Creating a clear and distinct image of the product in the mind of the target consumer.
- **THE MARKETING MIX (THE 4PS):** The detailed tactical plan.
  - **Product Strategy:** (e.g., "Launch a new 250g size," "Improve packaging").
  - **Price Strategy:** (e.g., "Set a penetration price of N150").
  - **Place Strategy:** (e.g., "Secure distribution in 500 supermarkets").
  - **Promotion Strategy:** (e.g., "Spend N5 million on radio ads and sampling").

5. ACTION PROGRAM (IMPLEMENTATION)

- This section gets very specific. It details:
  - **What** will be done?
  - **When** will it be done? (A timeline).
  - **Who** is responsible for doing it?
  - **How much** will it cost?

6. BUDGETS

- The financial part of the plan.
- It shows the projected costs (the marketing budget) and the projected revenues (the sales forecast).
- It essentially creates a projected Profit and Loss (P&L) statement for the marketing activities.

7. CONTROLS

- This section details *how* the plan's progress will be tracked.
- It sets "milestones" (e.g., check sales figures every month) and creates contingency plans (e.g., "What will we do if sales are 15% below target by June?").

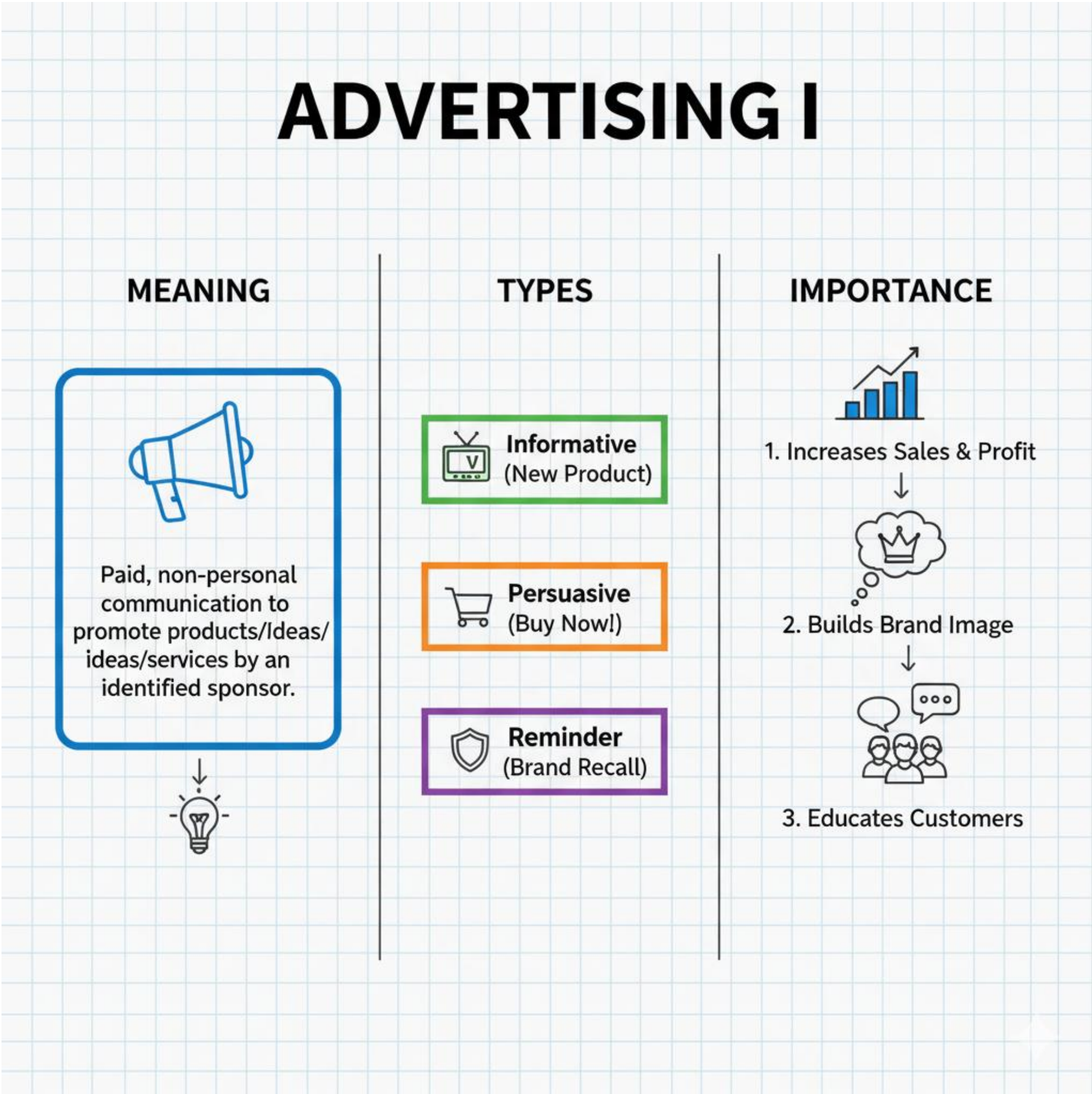
EVALUATION QUESTIONS

1. What is a Marketing Plan and what three key questions does it answer?
2. List four reasons why a marketing plan is important for a business.
3. What is a "SWOT Analysis"? Explain what each letter stands for.
4. What does the acronym "SMART" mean in the context of setting objectives?
5. What are the two main parts of the "Marketing Strategy" section of the plan?

ASSIGNMENT QUESTIONS

1. Why is the "Executive Summary" written last but placed first in the plan?
2. What is the difference between the "Marketing Objectives" and the "Marketing Strategy"?
3. Choose a product you know well (e.g., your school). Perform a simple **SWOT Analysis** for it. (List 2 Strengths, 2 Weaknesses, 2 Opportunities, 2 Threats).
4. Write one **SMART** marketing objective for a new restaurant opening in your area.
5. Explain the difference between the "Action Program" and the "Controls" sections of the plan.

WEEK 4: ADVERTISING I



A. MEANING OF ADVERTISING

Advertising is any **PAID** form of **NON-PERSONAL** communication and promotion of ideas, goods, or services by an **IDENTIFIED SPONSOR** through a **MASS MEDIUM**.

Let's break this definition down:

- **PAID:** The company must pay for the space or time in the media. This separates it from "Publicity," which is unpaid.
- **NON-PERSONAL:** The message is delivered to a large audience at once, not to a specific individual. This separates it from "Personal Selling."

- **IDENTIFIED SPONSOR:** The audience must clearly know who is sending the message (e.g., Coca-Cola, MTN). This separates it from "Propaganda."
- **MASS MEDIUM:** The message is carried by a channel like TV, radio, newspapers, or the internet.

B. IMPORTANCE (ROLES/FUNCTIONS) OF ADVERTISING

Advertising is a key part of the "Promotion" P of the marketing mix. Its objectives can be grouped into three main roles:

1. **INFORMATIVE ADVERTISING:**
   - **Goal:** To provide information and build primary demand (demand for the *product category*, not the brand).
   - **When it's used:** Heavily used when launching a new product.
   - **Examples:**
     - Telling the market about a brand new product (e.g., the first-ever iPhone).
     - Informing about a price change.
     - Explaining how the product works.
     - Correcting false impressions.
2. **PERSUASIVE ADVERTISING:**
   - **Goal:** To build selective demand (demand for a specific *brand*) by persuading consumers that it is the best.
   - **When it's used:** Becomes crucial as competition increases (in the Growth stage of the product life cycle).
   - **Examples:**
     - Building brand preference (e.g., "Peak Milk is better than other brands").
     - Encouraging switching to your brand.
     - Persuading customers to buy *now*.
   - **Comparative Advertising** is a sub-type where a brand directly compares itself to a competitor (e.g., "Pepsi vs. Coke").
3. **REMINDER ADVERTISING:**
   - **Goal:** To keep the brand "top-of-mind" and maintain customer relationships.

- **When it's used:** Used for mature products (in the Maturity stage) that are already well-known.
- **Examples:**
  - Reminding consumers that they might need the product soon.
  - Keeping the brand in their minds during the off-season (e.g., a Coca-Cola ad at Christmas).

C. TYPES OF ADVERTISING

Advertising can be classified in many ways, but two of the most important are by **Objective** and by **Target Audience**.

1. CLASSIFICATION BY OBJECTIVE

- **PIONEERING ADVERTISING:** (Same as Informative). Used at the *Introduction* stage of the Product Life Cycle (PLC). Tries to build awareness and primary demand.
- **COMPETITIVE ADVERTISING:** (Same as Persuasive). Used at the *Growth* stage. Tries to build brand preference and market share.
- **RETENTIVE ADVERTISING:** (Same as Reminder). Used at the *Maturity* stage. Tries to retain existing customers.

2. CLASSIFICATION BY TARGET AUDIENCE

- **CONSUMER ADVERTISING:** This is directed at the **final consumer**—the person who will *use* the product. (e.g., ads for Indomie, Omo, Milo).
- **TRADE ADVERTISING:** This is directed at **marketing intermediaries** (wholesalers and retailers). The goal is not for them to *use* the product, but to *stock* it and give it good shelf space. (e.g., found in business magazines).
- **INDUSTRIAL ADVERTISING:** (B2B - Business-to-Business). This is directed at organizational buyers. (e.g., an ad for a new piece of factory machinery).

3. OTHER IMPORTANT TYPES

- **INSTITUTIONAL (OR CORPORATE) ADVERTISING:**

    - **Goal:** To build the image and reputation of the *entire company* or *organization*, not a specific product.
    - **Example:** A bank (like GTB) running an ad that talks about its commitment to supporting small businesses or education.
- **PRODUCT ADVERTISING:**
    - **Goal:** To promote a specific, identifiable good or service. This is the most common type.

EVALUATION QUESTIONS

1. Give the full, technical definition of "Advertising."
2. Explain the four key parts of the definition: "Paid," "Non-personal," "Identified Sponsor," and "Mass Medium."
3. What are the three main *roles* (or objectives) of advertising?
4. What is the difference between "Pioneering Advertising" and "Competitive Advertising"?
5. What is "Institutional Advertising"? How is it different from "Product Advertising"?

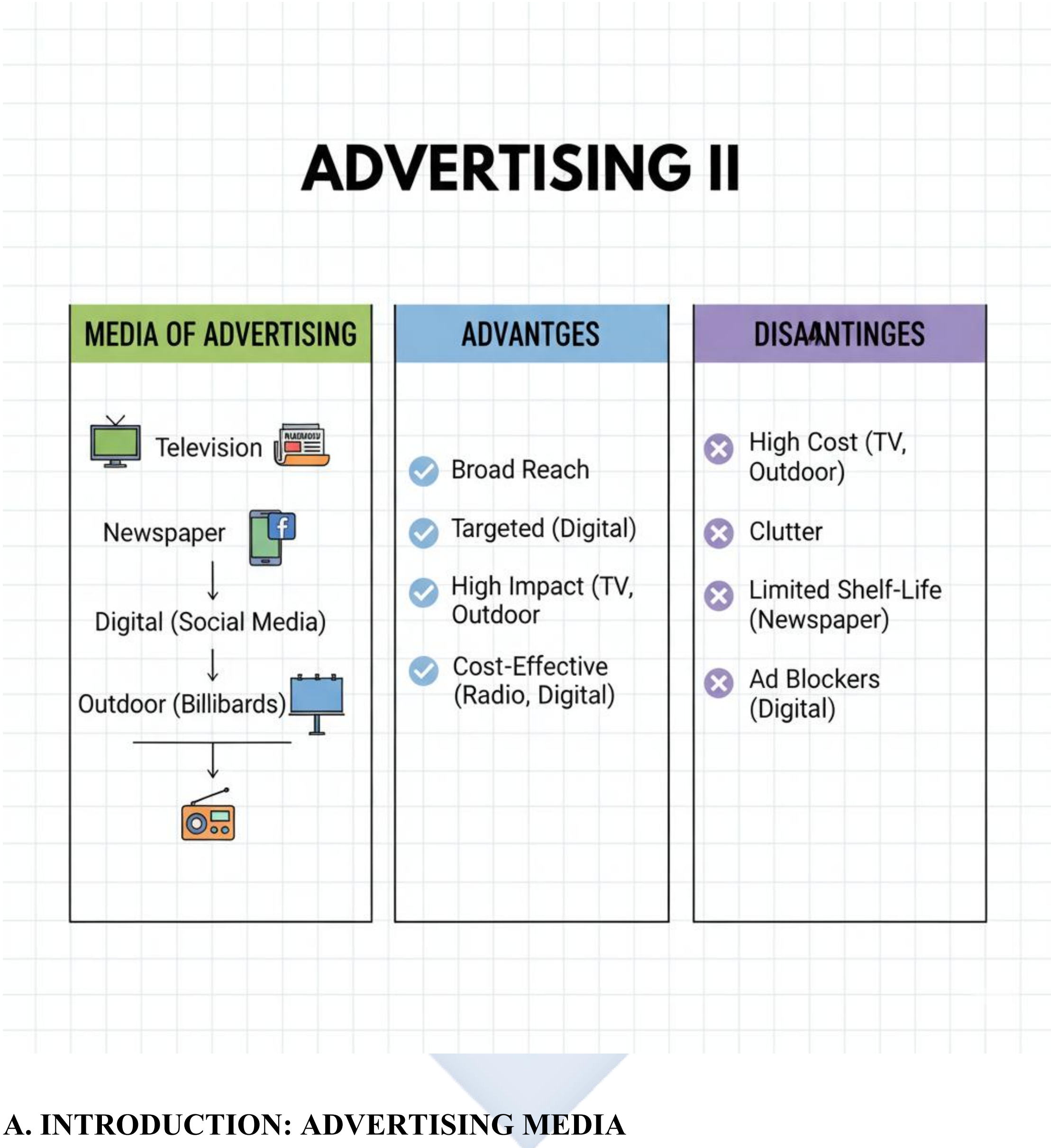
ASSIGNMENT QUESTIONS

1. What is the difference between "Consumer Advertising" and "Trade Advertising"? Why would a company use both?
2. Find an example of an advertisement (in a newspaper, magazine, or on TV).
    - (a) Identify the sponsor.
    - (b) Is its main objective Informative, Persuasive, or Reminder? Justify your answer.
    - (c) Is it Consumer, Trade, or Institutional advertising?
3. "Advertising is the same as Promotion." Is this statement true or false? Explain your answer. (Hint: Think about Week 8's topic).
4. Explain "Comparative Advertising" and describe a real or hypothetical example.
5. Why is "Paid" the key word that separates advertising from publicity?

WEEK 5: MIDTERM EXAMINATION

(This week is for conducting the midterm examination based on Weeks 1-4.)

WEEK 6: ADVERTISING II



A. INTRODUCTION: ADVERTISING MEDIA

Advertising Media are the *channels* or *vehicles* through which the advertising message is delivered to the target audience.

The key decision for a marketer is **Media Selection**: choosing the most cost-effective combination of media to reach the target audience and achieve the advertising objectives.

A "Medium" is the general category (e.g., Television). A "Media Vehicle" is the specific channel within that category (e.g., NTA, Channels TV, or a specific program like *BBNaija*).

B. TYPES OF ADVERTISING MEDIA (ADVANTAGES & DISADVANTAGES)

1. BROADCAST MEDIA

- **TELEVISION (TV)**
  - **ADVANTAGES:**
    - Combines sight, sound, and motion; highly appealing to the senses.
    - Has a very wide reach; can reach millions of people at once.
    - High prestige and perceived as high quality.
  - **DISADVANTAGES:**
    - Extremely high cost (both to create the ad and to buy the airtime).
    - High "clutter" (many ads competing for attention).
    - The message is fleeting (it's gone in 30 seconds).
- **RADIO**
  - **ADVANTAGES:**
    - Good for local targeting (can use local stations).
    - Much lower cost than TV.
    - High frequency (can repeat the ad many times).
    - Portable (can reach people in their cars, shops, etc.).
  - **DISADVANTAGES:**
    - Audio only ("the theatre of the mind"); cannot show the product.
    - The message is also fleeting.
    - Lower attention (people often listen while doing something else).

2. PRINT MEDIA

- **NEWSPAPERS**
  - **ADVANTAGES:**
    - Very flexible (can place an ad with short notice).
    - Timely (good for new announcements).

    - Good local market coverage.
    - Seen as believable and credible.
  - **DISADVANTAGES:**
    - Very short life (yesterday's news is old news).
    - Poor reproduction quality (bad for showing beautiful images).
    - Small "pass-along" audience (not many people share a newspaper).
- **MAGAZINES**
  - **ADVANTAGES:**
    - Excellent reproduction quality (glossy paper).
    - Long life (can stay in a house or office for months).
    - High pass-along readership.
    - Good targeting (can advertise in specific magazines like *Vogue*, *Forbes*, or a car magazine).
  - **DISADVANTAGES:**
    - High cost.
    - Long lead time (must book the ad months in advance).
    - No guarantee of ad placement (might be stuck at the back).

3. OUT-OF-HOME (OOH) MEDIA

- **BILLBOARDS (HOARDINGS)**
  - **ADVANTAGES:**
    - High repeat exposure (people see it every day on their way to work).
    - Low cost per exposure.
    - Good for location-based targeting (e.g., near a shopping mall).
  - **DISADVANTAGES:**
    - Message must be very brief (5-7 words maximum).
    - Little audience selectivity (everyone sees it, not just the target market).
    - Often criticized as "visual pollution."
- **TRANSIT ADVERTISING:** Ads placed on buses, taxis, BRT, etc.
- **CINEMA ADVERTISING:** Ads shown before a movie.

4. DIGITAL / INTERNET MEDIA

- **SOCIAL MEDIA ADVERTISING (INSTAGRAM, FACEBOOK, TIKTOK, X)**
    - **ADVANTAGES:**
        - Extremely precise targeting (by age, location, interests).
        - High engagement and share-ability.
        - Low cost and easy to start.
        - Immediate and measurable results.
    - **DISADVANTAGES:**
        - Can be seen as intrusive or annoying.
        - Negative feedback and comments are public and can spread fast.
        - Platform policies change frequently.
- **SEARCH ENGINE MARKETING (SEM)**
    - **ADVANTAGES:**
        - Targets customers who are *actively searching* for the product (high intent).
    - **DISADVANTAGES:**
        - Can be complex and highly competitive (bidding for keywords).
- **EMAIL MARKETING**
    - **ADVANTAGES:**
        - Very low cost.
        - Can be personalized.
        - Delivers the message directly to the customer.
    - **DISADVANTAGES:**
        - Can be ignored, caught in spam filters.
        - Low "open rates."

C. FACTORS INFLUENCING THE CHOICE OF MEDIA

A marketer doesn't just pick one. They choose a *mix* of media based on:

1. **MEDIA HABITS OF THE TARGET AUDIENCE:** Where does the target audience spend its time? (e.g., To reach teenagers, use TikTok and Instagram, not newspapers).
2. **NATURE OF THE PRODUCT:** A complex product (like a computer) needs a medium like print or a website to provide details. A product needing visual demonstration (like a new car) needs TV.
3. **NATURE OF THE MESSAGE:** A simple message (e.g., "Sale This Weekend!") is perfect for radio or billboards. A complex, emotional message needs TV.
4. **COST AND BUDGET:** The cost per thousand (CPM) people reached is a key metric. TV is very expensive; radio and social media are cheaper.
5. **ADVERTISING OBJECTIVES:** Is the goal to demonstrate a product (TV) or to drive immediate website traffic (Search Ads)?

EVALUATION QUESTIONS

1. What is the difference between an "Advertising Medium" and an "Advertising Media Vehicle"? Give an example of each.
2. List two advantages and two disadvantages of using Television for advertising.
3. List two advantages and two disadvantages of using Magazines for advertising.
4. Why is Social Media considered a highly effective medium for targeting specific audiences?
5. What are Out-of-Home (OOH) media? Give two examples.

ASSIGNMENT QUESTIONS

1. A company wants to launch a new, complex financial service for high-income professionals. Which *two* media would you recommend and why?
2. A local restaurant wants to announce a "50% off" lunch special for this week only. Which *two* media would be best and why?
3. Explain "media habits." Why is it arguably the most important factor in media selection?
4. Why would a company use a billboard, even though the message has to be very short?

5. Create a table comparing Newspapers and Magazines based on: (a) Lead Time, (b) Lifespan of Ad, (c) Reproduction Quality, and (d) Audience Selectivity.

WEEK 7: MIDTERM BREAK

(No academic content for this week.)

WEEK 8: PRICING STRATEGIES AND DETERMINANTS

A. INTRODUCTION: WHAT IS PRICE?

From the First Term, we know **Price** is one of the 4Ps.

- **Narrow Definition:** Price is the amount of money charged for a product or service.
- **Broad Definition:** Price is the sum of all the **values** (money, time, effort, social cost) that a customer gives up to gain the benefits of having or using a product or service.

It is the *only* element in the marketing mix that produces **revenue**; all other elements represent costs.

B. PRICING OBJECTIVES

Before setting a price, a company must decide on its *goal* or *objective*. The objective will guide the strategy.

1. **PROFIT-ORIENTED OBJECTIVES:**
   - **Profit Maximization:** To set a price that will generate the most profit possible.
   - **Target Return on Investment (ROI):** To set a price that will achieve a specific percentage return on the money invested.
2. **SALES-ORIENTED OBJECTIVES:**
   - **Market Share:** To set a price (often low) to capture a large share of the market.
   - **Sales Maximization:** To set a price that will generate the most *units* sold, regardless of profit.
3. **STATUS-QUO OBJECTIVES:**
   - **Meet Competition:** To set prices similar to competitors, simply to stay in the market.
   - **Price Stabilization:** To avoid price wars.

C. FACTORS INFLUENCING PRICING (DETERMINANTS)

Pricing decisions are influenced by two main sets of factors.

1. INTERNAL FACTORS (Within the company's control)

- **MARKETING OBJECTIVES:** The objective (from section B) will determine the price. (e.g., If the objective is Market Share, the price must be low).
- **MARKETING MIX STRATEGY (THE OTHER 3PS):** Price must be consistent with the other 3Ps. A product that is (P)romoted as high-quality and (P)laced in exclusive shops must have a high (P)rice.
- **COSTS:** This is the most basic factor. Costs set the **price floor** (the lowest price a company can charge and not lose money).
  - **Fixed Costs:** Costs that do not change with production (e.g., rent, salaries).
  - **Variable Costs:** Costs that change directly with production (e.g., raw materials).
  - **Total Costs = Fixed Costs + Variable Costs**.
- **ORGANIZATIONAL CONSIDERATIONS:** Who within the company has the authority to set prices? (In some, it's the sales team; in others, it's a dedicated pricing department).

2. EXTERNAL FACTORS (Outside the company's control)

- **THE MARKET AND DEMAND:** This sets the **price ceiling** (the highest price a company can charge).
  - **Type of Market:** (e.g., Pure Competition, Monopolistic Competition, Oligopoly, Monopoly).
  - **Price Elasticity of Demand:** How much does demand change if the price changes?
    - *Inelastic Demand:* Price change causes little change in demand (e.g., petrol).
    - *Elastic Demand:* Price change causes a large change in demand (e.g., biscuits).
- **COMPETITORS' STRATEGIES AND PRICES:** The company must consider what its rivals are charging.

- **THE ECONOMY:** Factors like inflation, recession, and interest rates affect consumer spending power and the company's costs.
- **GOVERNMENT:** Regulations, taxes, and price controls can limit pricing freedom.

D. PRICING STRATEGIES

These are the main *approaches* to setting a price.

1. NEW PRODUCT PRICING STRATEGIES

- **MARKET-SKIMMING PRICING:**
  - **What it is:** Setting a very **high** initial price for a new, innovative product.
  - **Goal:** To "skim" maximum revenue, layer by layer, from the segments willing to pay the high price.
  - **Example:** Apple launching a new iPhone at a very high price.
  - **Conditions:** The product's quality must support the high price; there must be enough buyers; competitors cannot easily enter and undercut the price.
- **MARKET-PENETRATION PRICING:**
  - **What it is:** Setting a very **low** initial price for a new product.
  - **Goal:** To "penetrate" the market quickly, attract a large number of buyers, and win a large market share.
  - **Example:** A new brand of soft drink or noodle entering the market at a price lower than all competitors.
  - **Conditions:** The market must be highly price-sensitive; costs must fall as production volume increases.

2. OTHER PRICING STRATEGIES

- **COST-BASED PRICING:**
  - **Cost-Plus Pricing (Markup Pricing):** The simplest method. Adding a standard *markup* (profit percentage) to the cost of the product. (e.g., Cost = N100, Markup = 20%, Price = N120).

- **VALUE-BASED PRICING:**
    - Setting the price based on the *buyer's perception of value*, not the seller's cost. This is a "marketing concept" approach.
- **COMPETITION-BASED PRICING:**
    - Setting prices based largely on competitors' prices, with less attention to cost or demand.
- **PSYCHOLOGICAL PRICING:**
    - Using price to say something about the product.
    - **Odd-Even Pricing:** Setting prices like N499 or N99.95 (to make it *seem* cheaper) instead of N500 or N100.
    - **Prestige Pricing:** Setting a very high price to signal high quality and status (e.g., Rolex, Rolls-Royce).

EVALUATION QUESTIONS

1. What is the broad definition of "Price"?
2. What is the difference between a "Profit-Oriented" objective and a "Sales-Oriented" objective?
3. What is the "price floor" and what is the "price ceiling"? What factors set them?
4. Explain "Market-Skimming Pricing." When is it used?
5. Explain "Market-Penetration Pricing." When is it used?

ASSIGNMENT QUESTIONS

1. Explain "Price Elasticity of Demand." Give one example of a product with *inelastic* demand and one with *elastic* demand.
2. What is "Psychological Pricing"? Give one example of "Odd-Even Pricing" and one of "Prestige Pricing."
3. A product costs N200 to produce. The company adds a 50% markup. What is the selling price? What pricing strategy is this?
4. A company's marketing objective is to become the market leader in a crowded market. Should it use Skimming or Penetration pricing? Justify your choice.
5. List the 4Ps of Marketing. Explain how the other 3Ps (Product, Place, Promotion) would influence the "Price" of a luxury car.

WEEK 9: PROMOTION

A. MEANING OF PROMOTION

Promotion (or **Marketing Communication**) is one of the 4Ps of the Marketing Mix.

It is the set of activities a company uses to **communicate** the merits of its products to target customers and **persuade** them to buy. It is the "voice" of the brand.

The **Promotion Mix** (or Marketing Communications Mix) is the specific blend of tools that the company uses to achieve its promotion objectives.

B. TYPES AND TOOLS OF PROMOTION (THE PROMOTION MIX)

There are five major tools in the promotion mix.

1. ADVERTISING

- **DEFINITION:** (As per Week 4) Any *paid*, *non-personal* communication by an *identified sponsor* through a *mass medium*.
- **TOOLS:** TV, radio, newspapers, billboards, social media, etc.
- **STRENGTHS:** Reaches large, geographically dispersed audiences at a low cost *per exposure*.
- **WEAKNESSES:** Impersonal, one-way communication, can be very expensive overall.

2. SALES PROMOTION

- **DEFINITION: Short-term incentives** used to encourage a *quick* purchase or sale of a product. It creates excitement and urgency.
- **TOOLS (Divided into two types):**
    - **CONSUMER PROMOTIONS (Targeted at final buyers):**
        - **Samples:** Free trials of a product.
        - **Coupons:** Vouchers that give buyers a discount.
        - **Rebates (Cash-backs):** Giving money back *after* the purchase.
        - **Price Packs (e.g., "BOGOF"):** "Buy One, Get One Free" or "20% extra free."

        - **Premiums:** A free gift that comes with a purchase.
        - **Contests & Sweepstakes:** Chances to win a prize.
        - **Point-of-Purchase (POP) Displays:** (See Week 10).
    - **TRADE PROMOTIONS (Targeted at retailers/wholesalers):**
        - **Discounts & Allowances:** Giving retailers a price break to encourage them to stock the product.
- **STRENGTHS:** Attracts attention, provides a strong incentive to buy *now*.
- **WEAKNESSES:** Effects are often short-lived; can devalue the brand if used too often.

3. PERSONAL SELLING

- **DEFINITION:** A *face-to-face* (or personal) presentation by the firm's sales force for the purpose of making sales and building customer relationships.
- **TOOLS:** Sales presentations, trade shows, incentive programs.
- **STRENGTHS:**
    - The most persuasive and interactive tool.
    - Allows for immediate feedback and relationship building.
    - Can be customized to the specific buyer.
- **WEAKNESSES:**
    - The most expensive promotion tool *per customer*.
    - Requires a highly skilled and trained sales force.
    - Has a limited reach.

4. PUBLIC RELATIONS (PR)

- **DEFINITION:** Building good relations with the company's various "publics" (e.g., media, government, investors, local community) by obtaining favorable, **UNPAID** publicity.
- **GOAL:** To build a good "corporate image" and handle or prevent unfavorable rumors and stories.
- **TOOLS:**
    - **Press Releases:** Sending newsworthy stories to the media.
    - **Sponsorships:** Sponsoring events (e.g., sports, community festivals).
    - **Special Events:** (e.g., press conferences, grand openings).

    - **Corporate Social Responsibility (CSR):** (e.g., building a school, donating to charity).
- **STRENGTHS:** Highly credible and believable (people trust news more than ads).
- **WEAKNESSES:** Hard to control the message; the media may not run the story.

5. DIRECT AND DIGITAL MARKETING

- **DEFINITION:** Communicating *directly* with carefully targeted individual customers to obtain an *immediate response* and build lasting relationships.
- **TOOLS:**
    - Email Marketing
    - SMS/WhatsApp Marketing
    - Social Media Marketing
    - Telemarketing (calling on the phone)
- **STRENGTHS:** Highly targeted, personal, and interactive; easy to measure results.
- **WEAKNESSES:** Can be seen as "spam" or intrusive if not done correctly.

C. INTEGRATED MARKETING COMMUNICATIONS (IMC)

This is a modern, crucial concept. **IMC** is the idea that the company must carefully **integrate and coordinate** all of its promotion tools (Advertising, PR, Sales Promo, etc.) to deliver a **clear, consistent, and compelling message** about the organization and its brand. All customer "touchpoints" (an ad, a website, a salesperson, a package) must say the same thing.

EVALUATION QUESTIONS

1. What is the "Promotion Mix"?
2. List the five major tools of the promotion mix.
3. What is the main difference between "Advertising" and "Public Relations"?
4. What is the main difference between "Advertising" and "Sales Promotion"?
5. Define "Integrated Marketing Communications (IMC)."

ASSIGNMENT QUESTIONS

1. "Personal Selling is the most expensive promotion tool." Why is this statement true? And if it is so expensive, why do companies still use it?
2. A company wants to clear its old stock of televisions before a new model arrives. Which promotion tool would be *most* effective for this goal, and what specific *tool* (e.g., coupon, contest) would you use?
3. A company is accused of polluting a local river. Which promotion tool would be *most* important to manage this crisis? Why?
4. Give an example of a "Consumer Promotion" and a "Trade Promotion."
5. Why is "credibility" the main strength of Public Relations?

WEEK 10: MERCHANDISING

A. MEANING OF MERCHANDISING

Merchandising (specifically **visual merchandising**) refers to all the promotional activities a company undertakes *at the point of sale (POS)*—that is, *inside* the retail store.

Its main goal is to use product presentation, display, and in-store setup to attract customer attention and persuade them to make a purchase. It is often called the "silent salesman" because the display itself does the selling.

B. IMPORTANCE OF MERCHANDISING

1. **STIMULATES IMPULSE BUYING:** This is its most important role. A well-placed display can make a customer buy something they did not plan to buy (e.g., placing sweets/magazines at the checkout counter).
2. **ATTRACTS CUSTOMER ATTENTION:** In a crowded supermarket with thousands of products, merchandising makes a brand *stand out* from its competitors.
3. **MAXIMIZES USE OF RETAIL SPACE:** It helps retailers use their store layout efficiently to expose customers to the maximum number of products.
4. **EDUCATES CUSTOMERS:** A good display can provide information, show the product in use, and answer questions, without needing a salesperson.
5. **CREATES A POSITIVE SHOPPING EXPERIENCE (ATMOSPHERICS):** Using light, music, and layout can make the store a pleasant place to be, encouraging customers to stay longer and buy more.

C. MERCHANDISING TECHNIQUES

These are the practical methods used to display products.

1. **STORE LAYOUT AND TRAFFIC FLOW:**
   - **GRID LAYOUT:** (Used by most supermarkets). Long, straight aisles.
   - **TRAFFIC FLOW:** The layout is deliberately designed to control how customers move. Essentials like bread and milk are often placed at the

back of the store, forcing customers to walk past thousands of other "impulse" items to get there.

2. **PRODUCT PLACEMENT AND SHELF POSITION:**
    - **EYE-LEVEL IS BUY-LEVEL:** The most profitable products and leading brands are placed on the shelf at the average customer's eye level. This is the most valuable space in the store.
    - **KIDS'-EYE-LEVEL:** Products targeted at children (e.g., sugary cereals, toys) are placed at their eye level.
    - **END-CAPS:** These are the display spaces at the very *end* of an aisle. They have very high visibility and are used for special promotions.
    - **CHECKOUT COUNTERS:** Used for high-margin impulse items (gum, batteries, soft drinks).
3. **POINT-OF-SALE (POS) DISPLAYS:**
    - These are special displays provided by the manufacturer to the retailer.
    - **Examples:** "Dump bins" (large cardboard boxes full of a product), special racks (e.g., a "Coca-Cola" branded cooler), "shelf-talkers" (small signs that stick out from the shelf).
4. **CROSS-MERCHANDISING:**
    - **Definition:** The practice of placing complementary (but unrelated) products together in one display to encourage customers to buy both.
    - **Example:** Placing garri, sugar, milk, and groundnuts all in one display. Or placing chips and salsa next to the soft drinks.
5. **ATMOSPHERICS:**
    - Using the store's physical environment to influence buying behaviour.
    - **LIGHTING:** (e.g., Bright, harsh lighting in a discount store; soft, warm lighting in a luxury store).
    - **MUSIC:** (e.g., Fast music can make people shop faster; slow, classical music in a restaurant encourages them to stay longer and spend more).
    - **SCENT:** (e.g., Bakeries pumping the smell of fresh bread onto the street; perfume stores).
    - **COLOUR:** (e.g., Red is often used for "Sale" signs as it creates urgency).
6. **IN-STORE DEMONSTRATIONS AND SAMPLING:**

- Allowing customers to try a product in the store (e.g., a free taste of a new noodle brand, testing a new perfume).

EVALUATION QUESTIONS

1. Define "Merchandising." Why is it called the "silent salesman"?
2. What is "impulse buying," and how does merchandising encourage it?
3. Explain the merchandising principle: "Eye-level is buy-level."
4. What is "Cross-Merchandising"? Give one example.
5. List three elements of "Atmospherics."

ASSIGNMENT QUESTIONS

1. Go to a local supermarket or shop.
    - (a) Identify one example of an **End-Cap** display. What product was on it?
    - (b) Identify one example of an item being sold at the **checkout counter**.
    - (c) Observe the store's **traffic flow**. Where are the essential items (like water, bread, milk) located? Why do you think they are placed there?
2. What is the difference between "Merchandising" and "Sales Promotion"? (Hint: They are very closely related).
3. How would the "Atmospherics" (music, lighting, scent) of a high-end jewelry store be different from those of a local food market?
4. Why are products for children (like cereal) often placed on low shelves?
5. Explain how a "Point-of-Sale (POS) display" provided by a manufacturer (like Indomie) benefits *both* Indomie and the supermarket.

WEEK 11: REVISION

A. KEY CONCEPT SUMMARY

- **WEEK 1 (Consumer Behaviour):** The study of *why, how, when,* and *where* people buy. It is influenced by 4 factors: **Cultural** (culture, subculture, social class), **Social** (family, reference groups), **Personal** (age, lifestyle), and **Psychological** (motivation, perception).
- **WEEK 2 (Organizational Buying):** The buying process for businesses. It is characterized by **Derived Demand**, involves a **Buying Center** (Users, Influencers, Buyers, Deciders, Gatekeepers), and has 3 situations: **Straight Rebuy, Modified Rebuy, New Task**.
- **WEEK 3 (Marketing Plan):** The written "roadmap" for marketing. Its components include the **Executive Summary**, **Situation Analysis (SWOT)**, **SMART Objectives**, **Marketing Strategy (STP & 4Ps)**, **Action Program**, **Budgets**, and **Controls**.
- **WEEK 4 & 6 (Advertising):** *Paid, non-personal* communication from an *identified sponsor*.
    - **Roles:** Informative, Persuasive, Reminder.
    - **Types:** Consumer, Trade, Institutional.
    - **Media:** Broadcast (TV, Radio), Print (Newspapers, Magazines), Out-of-Home (Billboards), Digital (Social Media).
- **WEEK 8 (Pricing):** The *value* exchanged for a product.
    - **Factors:** Internal (Costs, Objectives) and External (Demand, Competition, Economy).
    - **Strategies: Market-Skimming** (high price), **Market-Penetration** (low price), Cost-Plus, Value-Based, Psychological (N499).
- **WEEK 9 (Promotion):** The communications mix. The 5 tools are:

1. **Advertising** (Mass reach, paid)
2. **Sales Promotion** (Short-term incentives, e.g., "BOGOF")
3. **Personal Selling** (Face-to-face, expensive)
4. **Public Relations (PR)** (High credibility, unpaid)
5. **Direct & Digital Marketing** (Targeted, interactive)

- **WEEK 10 (Merchandising):** Promotion *at the point of sale*. Techniques include **Store Layout**, **Shelf Position** (eye-level), **POS Displays**, **Cross-Merchandising**, and **Atmospherics**.

B. INTEGRATED REVISION QUESTIONS

1. How does an understanding of **Consumer Behaviour (Week 1)** (e.g., lifestyle, social class) help a company to set its **Pricing Strategy (Week 8)**?
2. A company is launching a "New Task" product for an organizational market. How would its **Promotion Mix (Week 9)** be different from a company launching a simple "Straight Rebuy" product? (Hint: Think about Personal Selling vs. Advertising).
3. In which part of the **Marketing Plan (Week 3)** would you analyze your competitors' prices? And in which part would you detail your *own* pricing strategy?
4. "Merchandising (Week 10) is a form of Sales Promotion (Week 9)." Discuss this statement.
5. A company wants to build its corporate image as "environmentally friendly." Which *promotion tool* **(Week 9)** would be best for this? Which *advertising type* **(Week 4)** would it use? And this strategy is an example of which *marketing concept* **(from First Term)**?
6. Explain how a consumer's "Perception" **(Week 1)** influences their reaction to "Psychological Pricing" **(Week 8)**.
7. A company's SWOT analysis shows a major **Threat (Week 3)** from a new competitor. What *pricing strategy* **(Week 8)** and *promotion strategy* **(Week 9)** could it adopt to defend its market share?

C. REVISION ASSIGNMENT

1. Write a short essay (3 paragraphs) on the topic: "The B2B buying process is more rational, while the B2C process is more emotional." Do you agree or disagree? Use concepts from Weeks 1 and 2.
2. You are the marketing manager for a new brand of high-energy drink targeted at university students. Briefly outline your **Marketing Mix (4Ps)**. (Hint: Your mix should be *integrated*).

- **Product:** (e.g., Name, bottle size)
- **Price:** (Skimming or Penetration? Why?)
- **Place:** (Where would you sell it?)
- **Promotion:** (Which *two* promotion tools would be most effective for students?)

3. Draw a diagram showing the 5 tools of the Promotion Mix. For each tool, write one key advantage.

SS1 MARKETING LESSON NOTES

THIRD TERM

WEEK 1: ADVERTISING II (MEDIA)

A. INTRODUCTION: ADVERTISING MEDIA SELECTION

In the second term, we defined **advertising media** as the *channels* or *vehicles* through which the advertising message is delivered to the target audience.

Choosing the right media is a critical strategic decision. The goal is to select a media mix that cost-effectively reaches the target audience and achieves the advertising objectives.

Key concepts in media planning:

1. **Reach:** The percentage of people in the target market who are exposed to the ad campaign during a given period.
2. **Frequency:** The number of times the average person in the target market is exposed to the message.
3. **Media impact:** The qualitative value of message exposure through a given medium. (e.g., an ad in *vogue* magazine may have a higher "impact" than a pop-up banner).
4. **Cost per mille (cpm):** "Cost per thousand," a standard metric to compare the cost-effectiveness of different media.

B. TYPES OF ADVERTISING MEDIA (ADVANTAGES & DISADVANTAGES)

1. BROADCAST MEDIA

- **Television (TV)**
  - **Advantages:**
    - **Multisensory appeal:** Combines sight, sound, and motion, making it highly persuasive and emotional.
    - **Massive reach:** Can reach a huge, diverse audience quickly.

        - **Prestige:** Often viewed as a high-quality, credible medium.
    - **Disadvantages:**
        - **Extremely high cost:** Both for creating the advert and for buying airtime.
        - **High clutter:** Many ads compete for attention, and viewers often "tune out."
        - **Fleeting message:** The ad is gone in 30-60 seconds, requiring high frequency.
        - **Poor targeting (for some):** It is a "shotgun" approach, hitting many people outside the target market.
- **Radio**
    - **Advantages:**
        - **Lower cost:** Significantly cheaper than tv.
        - **Good local targeting:** Can use local stations to reach a specific city or community.
        - **Portability:** "The medium that moves," reaching people in cars, shops, and homes.
        - **High frequency:** Low cost allows for many repetitions of the ad.
    - **Disadvantages:**
        - **Audio only:** Cannot show the product ("theatre of the mind").
        - **Lower attention:** Listeners are often doing something else (driving, working).
        - **Fleeting message:** Like tv, the message is gone quickly.

2. PRINT MEDIA

- **Newspapers**
    - **Advantages:**
        - **Timeliness & flexibility:** Ads can be placed or changed on short notice (good for "sale" announcements).
        - **Good local coverage:** Excellent for targeting a specific geographic area.

        - **High believability:** Readers often view newspapers as a credible source.
    - **Disadvantages:**
        - **Very short life:** Disposed of after 24 hours.
        - **Poor reproduction quality:** Images and colour are often low quality.
        - **Declining readership:** Many people, especially youth, get news online.
- **Magazines**
    - **Advantages:**
        - **Excellent targeting:** Can target niche interests (e.g., *ovation* for lifestyle, *Forbes* for business).
        - **High reproduction quality:** Glossy paper allows for beautiful, high-impact visuals.
        - **Long lifespan:** Magazines are kept for weeks or months ("pass-along" readership).
    - **Disadvantages:**
        - **Long lead time:** Ads must be booked months in advance.
        - **High cost:** Expensive, especially for premium positions like the back cover.
        - **High clutter:** A single magazine may contain dozens of ads.

3. OUT-OF-HOME (OOH) MEDIA

- **Billboards (hoardings)**
    - **Advantages:**
        - **High repeat exposure:** Seen by the same (commuter) audience every day.
        - **Good location-based targeting:** Can be placed near the point of sale (e.g., a restaurant).
        - **Large size:** Creates a big visual impact.
    - **disadvantages:**
        - **Brief message:** Viewers only have a few seconds; message must be 5-7 words.

        - **Little audience selectivity:** "Shotgun" approach; cannot target specific demographics.
        - **Visual pollution:** Often criticized and regulated.
- **Other Ooh Media:**
    - **Transit advertising:** Ads on buses, taxis, kekes.
    - **Cinema advertising:** High-impact ads shown to a captive audience before a movie.
    - **Guerrilla advertising:** Unconventional, low-cost, surprise ads in public places (e.g., stickers, chalk art).

4. DIGITAL / INTERNET MEDIA

- **Social Media Advertising (Instagram, Facebook, Tiktok, X)**
    - **Advantages:**
        - **Extremely precise targeting:** By age, location, interests, behaviour.
        - **High engagement:** Allows for two-way communication, likes, shares, and comments.
        - **Low cost & measurable:** Easy to start with a small budget; results (clicks, views) are instantly measurable.
    - **Disadvantages:**
        - **Can be intrusive:** Users may find ads annoying.
        - **Negative feedback:** Negative comments are public and can spread fast.
        - **Constantly changing:** Platform algorithms and rules change frequently.
- **Search Engine Marketing (SEM)**
    - **Advantages:**
        - **High intent:** Targets customers who are *actively searching* for your product or service.
    - **Disadvantages:**
        - **Complex & competitive:** Requires bidding for keywords.

C. FACTORS INFLUENCING THE CHOICE OF MEDIA

1. **Media habits of the target audience (most important):** Where does your target audience spend its time? (e.g., To reach teenagers, use Tiktok and Instagram, not newspapers).
2. **Nature of the product:** A product requiring visual demonstration (like a car or blender) needs a visual medium (tv, video). A complex, information-heavy product (like a financial service) is better for print or a website.
3. **Nature of the message:** A simple, urgent message (e.g., "Sale this weekend!") is perfect for radio or billboards. A complex, emotional brand-building message needs tv.
4. **Cost and budget:** The total budget will determine which media are affordable. The goal is to find the lowest *cost per thousand (cpm)* within the target audience.
5. **Advertising objectives:** Is the goal mass awareness (tv)? Or driving immediate website traffic (search ads)?

EVALUATION QUESTIONS

1. Define "reach," "frequency," and "media impact."
2. What is the difference between an "advertising medium" and an "advertising media vehicle"? Give an example of each.
3. List two advantages and two disadvantages of using television.
4. Why is social media considered a highly effective medium for targeting?
5. List four factors a marketer must consider when choosing a media mix.

ASSIGNMENT QUESTIONS

1. What is "guerrilla advertising"? Why would a company choose this method?
2. A company wants to launch a new, complex financial service for high-income professionals in lagos. Which *two* media would you recommend and why?
3. A local restaurant wants to announce a "50% off" lunch special for this week only. Which *two* media would be best and why?
4. Explain "media habits." Why is it arguably the most important factor in media selection?
5. Create a table comparing newspapers and magazines based on: (a) lead time, (b) lifespan of ad, (c) reproduction quality, and (d) audience selectivity.

WEEK 2: PRICING STRATEGIES AND DETERMINANTS

A. INTRODUCTION: WHAT IS PRICE?

Price is one of the 4ps of the marketing mix. It is the *only* p that generates revenue.

- **Narrow definition:** Price is the amount of money charged for a product or service.
- **Broad definition:** Price is the sum of all the **values** (money, time, effort, social cost) that a customer gives up to gain the benefits of having or using a product or service.

B. PRICING OBJECTIVES

Before setting a price, a company must decide on its *goal* or *objective*.

1. **Profit-oriented objectives:**
    - **Profit maximization:** to set a price that will generate the most profit possible (often a high price).
    - **Target return on investment (roi):** to set a price that will achieve a specific percentage return on the money invested.
2. **Sales-oriented objectives:**
    - **Market share:** to set a price (often low) to capture a large share of the market and become the leader.
    - **Sales maximization:** to set a price that will generate the most *units* sold, regardless of profit (e.g., to clear old stock).
3. **Status-quo objectives:**
    - **Meet competition:** to set prices similar to competitors, simply to stay in the market and avoid price wars.
4. **Survival:**
    - A short-term objective used in times of crisis. Price is set low, just to cover costs and stay in business.

C. DETERMINANTS (FACTORS INFLUENCING PRICING)

Pricing decisions are influenced by two main sets of factors.

1. INTERNAL FACTORS (WITHIN THE COMPANY'S CONTROL)

- **Marketing objectives:** The chosen objective (from section b) will determine the price.
- **Marketing mix strategy (the other 3ps):** Price must be consistent with the other 3ps. A product that is (p)romoted as high-quality and (p)laced in exclusive shops must have a high (p)rice.
- **Costs:** This is the most basic factor. Costs set the **price floor** (the lowest price a company can charge and not lose money).
  - **Fixed costs:** Costs that do not change with production (e.g., rent, salaries).
  - **Variable costs:** Costs that change directly with production (e.g., raw materials).
  - **Total costs = Fixed costs + Variable costs**.
- **Organizational considerations:** Who sets the price? (Top management? Sales team? A dedicated pricing department?).

2. EXTERNAL FACTORS (OUTSIDE THE COMPANY'S CONTROL)

- **The market and demand:** This sets the **price ceiling** (the highest price a company can charge).
  - **Price elasticity of demand:** How much does demand change if the price changes?
    - *Inelastic demand:* Price change causes little change in demand (e.g., petrol, salt).
    - *Elastic demand:* Price change causes a large change in demand (e.g., biscuits, soft drinks).
- **Competitors' strategies and prices:** The company must consider what its rivals are charging.
- **The economy:** Factors like inflation, recession, and interest rates affect consumer spending power.
- **Government:** Regulations, taxes, and price controls can limit pricing freedom.

D. PRICING STRATEGIES

1. NEW PRODUCT PRICING STRATEGIES

- **Market-skimming pricing:**
  - **What it is:** setting a very **high** initial price for a new, innovative product.
  - **Goal:** to "skim" maximum revenue, layer by layer, from the segments willing to pay the high price.
  - **Example:** apple launching a new iphone.
- **Market-penetration pricing:**
  - **What it is:** setting a very **low** initial price for a new product.
  - **Goal:** to "penetrate" the market quickly, attract a large number of buyers, and win a large market share.
  - **Example:** a new biscuit brand entering the market at a price lower than competitors.

2. PRODUCT MIX PRICING STRATEGIES (EXPANDED)

This involves setting prices for a group of products.

- **Product line pricing:** Setting different price points for different products within a line (e.g., a car wash offering a "basic" wash for n1000, "standard" for n2000, and "premium" for n3000).
- **Optional-product pricing:** Pricing optional "extras" that go with the main product (e.g., selling a car, then charging extra for a leather interior or alloy wheels).
- **Captive-product pricing:** Pricing a main product low, but charging a high price for the "captive" products it needs (e.g., selling a printer cheaply, but making high profits on the expensive ink cartridges).
- **By-product pricing:** Setting a price for "waste" or by-products to help offset the cost of the main product (e.g., a zoo selling the animal manure as "zoo-doo" fertilizer).
- **Product bundle pricing:** Combining several products together in a "bundle" and offering it at a reduced price (e.g., a "value meal" at a fast-food restaurant; a "dstv bundle" with internet and phone).

3. OTHER GENERAL PRICING STRATEGIES

- **Cost-plus pricing (markup pricing):** The simplest method. Adding a standard *markup* (profit percentage) to the cost of the product.
- **Value-based pricing:** Setting the price based on the *buyer's perception of value*, not the seller's cost.
- **Competition-based pricing:** Setting prices based largely on competitors' prices.
- **Psychological pricing:** Using price to influence the customer's perception.
    - **Odd-even pricing:** N499 instead of n500 (makes it seem cheaper).
    - **Prestige pricing:** Setting a very high price to signal high quality and status (e.g., Rolex).

EVALUATION QUESTIONS

1. What is the difference between a "profit-oriented" objective and a "sales-oriented" objective?
2. What is the "price floor" and what is the "price ceiling"? What factors set them?
3. Explain "market-skimming pricing" and "market-penetration pricing."
4. What is "captive-product pricing"? Give a real-world example.
5. Explain "product bundle pricing."

ASSIGNMENT QUESTIONS

1. Explain "price elasticity of demand." Give one example of a product with *inelastic* demand and one with *elastic* demand.
2. What is "psychological pricing"? Give one example of "odd-even pricing" and one of "prestige pricing."
3. A company sells a video game console at a low price but sells the video games for it at a very high price. What pricing strategy is this? Why?
4. A company's marketing objective is to become the market leader in a crowded market. Should it use skimming or penetration pricing? Justify your choice.

5. List the 4ps of marketing. Explain how the other 3ps (product, place, promotion) would influence the "price" of a luxury car.

WEEK 3: PROMOTION I (MEANING, TOOLS, AND IMPORTANCE)

A. MEANING OF PROMOTION

Promotion (or **marketing communication**) is one of the 4ps of the marketing mix.

It is the set of activities a company uses to **communicate** the merits of its products to target customers and **persuade** them to buy. It is the "voice" of the brand.

B. THE COMMUNICATION PROCESS

To be an effective communicator, a marketer must understand the process of communication, which involves nine elements:

1. **Sender:** The party sending the message (the company).
2. **Encoding:** Putting the thought into symbolic form (e.g., creating a tv ad, writing a speech).
3. **Message:** The set of symbols the sender transmits.
4. **Media:** The communication channels the message moves through (e.g., tv, radio, internet).
5. **Decoding:** The process by which the receiver assigns meaning to the symbols.
6. **Receiver:** The party receiving the message (the target customer).
7. **Response:** The reaction of the receiver after being exposed to the message (e.g., buying the product, liking the ad, ignoring it).
8. **Feedback:** The part of the response that is communicated back to the sender (e.g., sales data, social media comments).
9. **Noise:** Unplanned static or distortion during the process, which causes the receiver to get a different message (e.g., poor tv reception, a customer being distracted by their phone).

C. IMPORTANCE (PURPOSE) OF PROMOTION

The overall goal of promotion is to move the customer through the buying process. It has four main objectives:

1. **To inform (informative promotion):**

- Telling the market about a new product.
- Explaining how a product works.
- Informing about a price change.
- Correcting false impressions.
- (heavily used in the *introduction* stage of the product life cycle).

2. **To persuade (persuasive promotion):**
   - Building brand preference ("our brand is the best").
   - Encouraging a switch from a competitor.
   - Persuading the customer to buy *now*.
   - (heavily used in the *growth* stage as competition increases).
3. **To remind (reminder promotion):**
   - Keeping the brand "top-of-mind" during the off-season.
   - Reminding consumers where to buy the product.
   - (heavily used for *mature* products like coca-cola).
4. **To build relationships:**
   - Modern promotion (especially digital) is not just about selling.
   - It's about creating a two-way conversation and a long-term relationship with the customer.

D. TOOLS OF THE PROMOTION MIX

The **promotion mix** (or marketing communications mix) is the specific blend of tools that the company uses to achieve its promotion objectives. There are five major tools:

1. **Advertising:**
   - **Definition:** any *paid*, *non-personal* communication by an *identified sponsor* through a *mass medium*.
   - **Strengths:** reaches large audiences; low cost *per exposure*.
   - **Weaknesses:** impersonal; one-way; very expensive overall.
2. **Sales promotion:**
   - **Definition:** *short-term incentives* to encourage a *quick* purchase (e.g., "buy one, get one free").
   - **Strengths:** creates urgency; attracts attention.
   - **Weaknesses:** effects are short-lived; can devalue the brand.
3. **Personal selling:**

- **Definition:** a *face-to-face* (or personal) presentation by the firm's sales force to make sales and build relationships.
- **Strengths:** most persuasive and interactive tool; builds relationships.
- **Weaknesses:** most expensive tool *per customer*; limited reach.

4. **Public relations (pr):**
    - **Definition:** building good relations with the company's various "publics" (media, government, community) by obtaining favorable, **unpaid** publicity.
    - **Strengths:** highly credible and believable (people trust news more than ads).
    - **Weaknesses:** hard to control the message; the media may not run the story.
5. **Direct and digital marketing:**
    - **Definition:** communicating *directly* with carefully targeted individual customers to get an *immediate response*.
    - **Strengths:** highly targeted; personal; interactive; easy to measure.
    - **Weaknesses:** can be seen as "spam" or intrusive.

EVALUATION QUESTIONS

1. What is the "promotion mix"?
2. List the five major tools of the promotion mix.
3. What is the main difference between "advertising" and "public relations"?
4. What are the four main objectives (importance) of promotion?
5. Define "integrated marketing communications (imc)." (from 2nd term)

ASSIGNMENT QUESTIONS

1. List the nine elements of the communication process.
2. What is "noise" in the communication process? Give a practical example.
3. "Personal selling is the most expensive promotion tool." Why is this statement true? And if it is so expensive, why do companies still use it?
4. A company is accused of polluting a local river. Which promotion tool would be *most* important to manage this crisis? Why?
5. Why is "credibility" the main strength of public relations?

WEEK 4: PROMOTION II (METHODS OF SALES PROMOTION)

A. INTRODUCTION: WHAT IS SALES PROMOTION?

As defined in week 3, **sales promotion** refers to **short-term incentives** used to encourage a *quicker* or *larger* purchase of a product or service.

Its goal is to create urgency and "push" the customer to buy **now**.

Sales promotion can be targeted at two different groups:

1. **Consumer promotions** (to pull customers in)
2. **Trade promotions** (to push the product through intermediaries)

B. CONSUMER PROMOTION METHODS (ADVANTAGES & DISADVANTAGES)

These are tools used to boost short-term sales to final consumers.

1. **Samples:**
    - **What it is:** offering a free trial amount of a product (e.g., a small sachet of a new detergent, a free taste in a supermarket).
    - **Advantages:** highly effective for new products; eliminates risk for the consumer.
    - **Disadvantages:** very expensive to produce and distribute.
2. **Coupons:**
    - **What it is:** vouchers or certificates that give buyers a stated discount when they purchase a product.
    - **Advantages:** good for encouraging trial; helps to target specific users (e.g., in a newspaper).
    - **Disadvantages:** low redemption rates; can be abused; can annoy retailers.
3. **Rebates (or cash-backs):**
    - **What it is:** giving money back *after* the purchase. The customer buys the product, sends a "proof of purchase," and receives a refund.

- **Advantages:** a strong incentive; many customers forget to claim it ("slippage").
- **Disadvantages:** seen as a hassle by customers; delays the reward.

4. **Price packs (or "bogof"):**
    - **What it is:** offering consumers a discount off the regular price, printed on the pack. (e.g., "buy one, get one free," "20% extra free," "two-for-n500").
    - **Advantages:** very strong, immediate incentive at the point of sale; clears old stock.
    - **Disadvantages:** can devalue the brand; customers may stockpile and not buy later.
5. **Premiums (or gifts):**
    - **What it is:** a free or low-cost item given with a purchase (e.g., a free toy in a cereal box, a free glass when you buy a drink).
    - **Advantages:** creates excitement and added value.
    - **Disadvantages:** cost of the premium can be high; may attract "gift-seekers," not loyal customers.
6. **Contests, sweepstakes, and games:**
    - **Contest:** requires the customer to use a skill to win (e.g., "write the best slogan").
    - **Sweepstake/game:** a pure game of chance (e.g., "find the winning bottle cap").
    - **Advantages:** creates high levels of excitement, engagement, and media buzz.
    - **Disadvantages:** can be costly to run; may have legal complications.

C. TRADE PROMOTION METHODS (ADVANTAGES & DISADVANTAGES)

These are tools used to persuade **retailers and wholesalers** (the "trade") to carry a brand and promote it.

1. **Trade discounts (or price-offs):**
    - **What it is:** a direct discount off the list price for a certain quantity.
    - **Advantages:** simple and effective; encourages larger orders.

  - **Disadvantages:** retailer may "forward buy" (stockpile at the low price) and not buy later.
2. **Allowances:**
   - **What it is:** money paid by the manufacturer to the retailer in return for an agreement to *do* something.
   - **Advertising allowance:** money to help pay for the retailer's local advertising.
   - **Display allowance:** money for giving the product a special display (e.g., an "end-cap").
   - **Advantages:** ensures the product is actively promoted by the retailer.
   - **Disadvantages:** difficult to monitor if the retailer actually performed the service.
3. **Free goods:**
   - **What it is:** giving the retailer free products (e.g., "buy 10 cases, get 1 case free").
   - **Advantages:** a very strong incentive to place a large order.
   - **Disadvantages:** reduces the manufacturer's profit margin.
4. **Push money:**
   - **What it is:** a cash bonus or prize paid by the manufacturer directly to the *retailer's salespeople* for "pushing" the manufacturer's brand.
   - **Advantages:** highly effective at the point of sale.
   - **Disadvantages:** can be expensive; may be illegal or unethical in some cases; can make the salesperson loyal to the money, not the customer.

EVALUATION QUESTIONS

1. What is the main goal of sales promotion?
2. What is the difference between a "consumer promotion" and a "trade promotion"?
3. What is the difference between a "contest" and a "sweepstake"?
4. Explain "price packs" and give one example.
5. What is "push money"? Who is it given to, and why?

ASSIGNMENT QUESTIONS

1. What is the main difference between "advertising" and "sales promotion" in terms of their objectives (long-term vs. short-term)?
2. What is a "rebate"? Why might a company prefer it over a simple "coupon"?
3. A company wants to clear its old stock of televisions before a new model arrives. Which promotion tool (advertising, pr, or sales promo) would be *most* effective, and which specific *method* (e.g., coupon, price pack) would you use?
4. What is an "advertising allowance" in trade promotion?
5. List two advantages and two disadvantages of using "samples" to promote a new product.

WEEK 5: MIDTERM EXAMINATION

(This week is for conducting the midterm examination based on weeks 1-4.)

WEEK 6: MERCHANDISING I (MEANING, IMPORTANCE, AND TECHNIQUES)

A. MEANING OF MERCHANDISNG

Merchandising refers to all the activities involved in presenting a product to a customer *at the point of sale (POS)*.

It is the art and science of displaying products in a retail store in a way that is visually attractive and appealing, with the goal of persuading customers to make a purchase.

It is often called the **"silent salesman"** because the display itself does the selling, without a salesperson needed. It connects the manufacturer's advertising to the customer's final choice.

B. IMPORTANCE OF MERCHANDISING

1. **Stimulates impulse buying (most important):** This is its primary role. A well-placed, attractive display can make a customer buy a product they had no intention of buying when they entered the store (e.g., placing sweets/magazines at the checkout counter).
2. **Attracts customer attention:** In a crowded supermarket with thousands of competing products, merchandising makes a brand *stand out*.
3. **Maximizes use of retail space:** It helps retailers organize their store layout efficiently to expose customers to the maximum number of products.
4. **Educates customers:** A good display (a "point-of-sale" display) can provide information, show the product in use, and answer questions.
5. **Creates a positive shopping experience (atmospherics):** Using light, music, and layout can make the store a pleasant place, encouraging customers to stay longer and buy more.
6. **Reinforces brand image:** A luxury product (like a Rolex) is merchandised differently from a discount product (like a basic biscuit) to reinforce its brand value.

C. MERCHANDISING TECHNIQUES

These are the practical methods used to achieve the goals above.

1. EXTERIOR PRESENTATION (GETTING THE CUSTOMER IN)

- **Window displays:** The "face" of the store. It's the first thing a customer sees.
  - *Closed window:* A full "stage" with a back wall, hiding the inside of the store.
  - *Open window:* A display with no back wall, so customers can see into the store.
  - *Semi-closed:* A display with a low background, allowing a partial view.
- **Signage (fascia):** The main sign with the store's name. It must be clear and reflect the brand.

2. INTERIOR PRESENTATION (MAKING THE SALE)

- **Store layout (traffic flow):** The physical design and layout of the store, which controls how customers move.
  - *Grid layout:* Long, straight aisles (like a supermarket). Efficient, but boring.
  - *Loop (racetrack) layout:* A main aisle that circles the store (like an ikea).
  - *Free-flow layout:* No set pattern (like a fashion boutique), encourages browsing.
- **Shelf placement (planogram):** The detailed plan of where every single product goes on a shelf.
  - **Eye-level is buy-level:** The most profitable products and leading brands are placed at the average customer's eye level (the "pyramid of sight," 1.0m - 1.5m).
  - **Kids'-eye-level:** Products for children (toys, cereals) are placed low.
  - **Top shelf:** Premium, niche, or specialty items.
  - **Bottom shelf:** Discount items or bulk packs.
- **Point-of-sale (pos) displays:** Special displays provided by the manufacturer.
  - *End-caps:* The highly-visible space at the end of an aisle.
  - *Dump bins:* Large cardboard boxes filled with a product on sale.
  - *Shelf-talkers:* Small signs that stick out from the shelf.

- **Atmospherics:** Using the store's physical environment to influence mood.
    - **Lighting:** (Bright for discount, soft for luxury).
    - **Music:** (Fast to move crowds, slow to encourage browsing).
    - **Scent:** (e.g., bakeries pumping the smell of bread).
    - **Colour:** (e.g., red for "sale," blue for "calm").

EVALUATION QUESTIONS

1. Define "merchandising." Why is it called the "silent salesman"?
2. What is "impulse buying," and how does merchandising encourage it?
3. Explain the merchandising principle: "eye-level is buy-level."
4. What is a "grid layout"? What type of store typically uses it?
5. List three elements of "atmospherics."

ASSIGNMENT QUESTIONS

1. Go to a local supermarket or shop.
    - (a) Identify one example of an **end-cap** display.
    - (b) Identify one item being sold at the **checkout counter**.
    - (c) Observe the **traffic flow**. Where are essentials (like bread/milk) located? Why are they placed there?
2. What is the difference between a "grid layout" and a "free-flow layout"?
3. How would the "atmospherics" (music, lighting) of a high-end jewelry store be different from those of a local food market?
4. Why are products for children (like cereal) often placed on low shelves?
5. What is a "window display"? Explain the difference between an "open" and "closed" window.

WEEK 7: MIDTERM BREAK

(No academic content for this week.)

WEEK 8: MERCHANDISING II (METHODS AND APPLICATIONS)

A. INTRODUCTION: APPLYING MERCHANDISING TECHNIQUES

In week 6, we learned the *what* (techniques) of merchandising. This week, we focus on *how* and *why* these techniques are applied differently across various retail sectors. The strategy is not "one size fits all"; it must be adapted to the product and the customer.

B. APPLICATION IN DIFFERENT RETAIL SECTORS

1. APPLICATION: SUPERMARKETS / GROCERY STORES

- **Primary goal:** Maximize sales volume, encourage impulse buys, and manage high traffic.
- **Methods applied:**
  - **Layout:** Strict **grid layout** for efficiency.
  - **Traffic flow:** Essentials (milk, bread, eggs) are placed at the **back** of the store. This forces customers to walk past the *entire* store, increasing exposure to other products.
  - **Placement:** Highly scientific shelf placement (eye-level, kids'-eye-level).
  - **Merchandising:**
    - **Cross-merchandising:** Placing complementary products together (e.g., garri, sugar, and milk; spaghetti and pasta sauce).
    - **End-caps:** Used for high-profit items or promotions.
    - **Checkout counters:** Dedicated to high-margin impulse items (gum, sweets, batteries).

2. APPLICATION: FASHION / APPAREL STORES

- **Primary goal:** Create a strong brand image, encourage browsing, and sell a "look" or "lifestyle."
- **Methods applied:**
  - **Layout: Free-flow** or **loop layout** to encourage slow, leisurely browsing.

- **Atmospherics:** Critical. Uses specific music, soft/warm lighting, and often a signature scent to create a brand mood.
- **Displays:**
    - **Window displays:** The most important tool. They are changed frequently to show new trends.
    - **Mannequins:** Used to show how outfits look ("outfit building").
    - **Vertical merchandising:** Displaying items in a vertical column (e.g., shirt, trousers, shoes) to show a complete outfit.
    - **"Rule of three":** Displaying items in groups of three (which is visually more appealing).

3. APPLICATION: ELECTRONICS STORES

- **Primary goal:** Convey technical information, allow customers to test products, and manage high-value items.
- **Methods applied:**
    - **Layout:** Often a grid or "spine" layout.
    - **Displays:**
        - **Interactive displays:** The most important technique. Phones, laptops, and tablets are powered on, allowing customers to "try-me."
        - **Information-rich signage:** Displays feature detailed specifications (price, memory, features).
        - **Secure displays:** High-value items are often tethered with alarms or kept in locked glass cabinets.

4. APPLICATION: RESTAURANTS / CAFES

- **Primary goal:** Maximize "per-customer" spend and create a comfortable atmosphere.
- **Methods applied:**
    - **Atmospherics:** Music, lighting, and comfortable seating are designed to make you either (a) stay longer and order more (fine dining) or (b) eat quickly and leave (fast food).

- **Menu merchandising:** The menu itself is a tool. High-profit items are placed in the "golden triangle" (top-right, top-left, center) where the eye looks first.
- **Upselling:** Placing smaller, high-margin items at the point of sale (e.g., desserts, drinks) and having staff "suggest" them.

C. KEY MERCHANDISING METHODS (DEEPER DIVE)

1. **Vertical merchandising:** Displaying a category of goods from top to bottom (e.g., all shirts in one section, organized by price/colour). This makes it easier for customers to shop.
2. **Horizontal merchandising:** Placing a single line of a product across the top of a shelf or fixture. Often used for a single brand.
3. **The "rule of three":** A design principle that suggests items grouped in odd numbers (especially three) are more visually appealing and memorable than even-numbered groups.
4. **The pyramid of sight:** This relates to shelf placement.
   - **Above 1.8m (stretch):** Least valuable.
   - **1.2m - 1.8m (eye-level):** Most valuable ("hot zone").
   - **0.9m - 1.2m (touch):** Second most valuable.
   - **Below 0.9m (stoop):** Valuable for kids' items or bulk packs.

EVALUATION QUESTIONS

1. Why are essential items like milk and bread often placed at the very back of a supermarket?
2. What is "cross-merchandising"? Give an example.
3. What is the main difference in layout between a supermarket and a fashion boutique? Why?
4. What are "interactive displays," and in which retail sector are they most important?
5. Explain the "rule of three" in visual merchandising.

ASSIGNMENT QUESTIONS

1. What is "menu merchandising"? Where on a menu are the most profitable items usually placed?
2. Visit a local fashion store (or think about one). Describe its "atmospherics" (music, lighting, smell, layout). What kind of "mood" is it trying to create?
3. Explain "vertical merchandising."
4. A supermarket wants to create a display for "independence day." What products could it "cross-merchandise" in that display?
5. What are the four zones of the "pyramid of sight"? Which is the most valuable?

WEEK 9: MERCHANDISING III (MODERN TRENDS)

A. INTRODUCTION: THE EVOLUTION OF MERCHANDISING

Traditional merchandising focused on the physical placement of products. Modern merchandising, driven by technology and changing consumer expectations, is focused on creating **experiences**, **integrating digital tools**, and **building a relationship** with the shopper.

B. TREND 1: DIGITAL AND TECHNOLOGICAL TRENDS

1. **Digital signage:**
    - **What it is:** replacing static, printed signs with dynamic digital screens (e.g., LED or LCD screens).
    - **Application:** can show videos, animations, and change promotions based on the time of day (e.g., breakfast ads in the morning, dinner ads in the afternoon).
    - **Advantages:** more eye-catching, can be updated remotely, saves on printing costs.
2. **Interactive displays & kiosks:**
    - **What it is:** touch-screen kiosks that allow customers to access information, check stock, or even place orders.
    - **Application:** a customer in a fashion store can use a kiosk to see if a different size is in stock, or "build their own" product.
    - **Advantages:** empowers the customer, frees up staff, and gathers data on what customers are searching for.
3. **Augmented Reality (AR):**
    - **What it is:** overlaying digital information onto the real world, usually through a customer's smartphone.
    - **Application:**
        - **Furniture:** the IKEA place app lets you see how a sofa will look in your own living room.
        - **Fashion/beauty:** "virtual try-on" apps let you see how makeup or sunglasses will look on your face.
    - **Advantages:** increases purchase confidence; reduces product returns.

4. **Proximity marketing (beacons):**
   - **What it is:** using small, low-energy Bluetooth (beacon) devices in the store to detect a customer's smartphone (if they have the app).
   - **Application:** as a customer walks past the shoe aisle, a beacon triggers a notification on their phone: "special offer: 20% off all sneakers!"
   - **Advantages:** highly targeted, personalized, and delivered at the perfect moment.

C. TREND 2: EXPERIENTIAL AND STRATEGIC TRENDS

1. **Experiential retail (the "retail-tainment"):**
   - **What it is:** the trend of turning a store from a place to *buy things* into a place to *have an experience*. This is a defense against online shopping.
   - **Application:**
     - An apple store, which is designed like a "town square" where people can learn, test, and hang out.
     - A Nike store with a basketball court inside to test shoes.
     - A bookstore with a built-in café.
   - **Advantages:** builds a strong brand community; gives people a reason to visit the physical store.
2. **Pop-up shops:**
   - **What it is:** temporary, short-term retail spaces that "pop up" for a few days or weeks.
   - **Application:** used to launch new products, test a new market, or create urgency and media buzz.
   - **Advantages:** low cost, flexible, creates a sense of "you had to be there."
3. **Sustainable & ethical merchandising:**
   - **What it is:** responding to customer demand for environmentally and socially responsible brands.
   - **Application:** using recycled materials in displays; using signs to tell the "story" of a product (e.g., "fair trade," "organic," "locally made"); minimalist packaging.

    - **Advantages:** builds trust and loyalty with modern, conscious consumers.
4. **Omnichannel merchandising:**
    - **What it is:** blurring the lines between the online and offline stores.
    - **Application:**
        - **Bopis:** "buy online, pickup in-store."
        - Using the physical store as a showroom, where customers can touch the product and then order it online.
    - **Advantages:** provides maximum convenience for the customer.

EVALUATION QUESTIONS

1. What is "digital signage," and how is it different from traditional signage?
2. Explain "augmented reality (ar)" as a merchandising trend. Give one example.
3. What is "experiential retail"? Why is this trend becoming popular?
4. What is a "pop-up shop"?
5. Explain "Omnichannel merchandising" and "Bopis."

ASSIGNMENT QUESTIONS

1. What is "proximity marketing (beacons)"? Why do some customers find it useful and others find it intrusive?
2. What is "sustainable merchandising"? Give two examples of how a store could apply it.
3. What is an "interactive kiosk"? How could it be used in a university?
4. Imagine you are merchandising a new smartphone. How could you use "experiential" techniques to sell it?
5. Which of the modern trends do you think is the most powerful, and why?

WEEK 10: DISTRIBUTION

A. MEANING OF DISTRIBUTION (PLACE)

Distribution (also known as **place** in the 4ps) is the process of making a product or service **available** for the consumer or business user, at the right **place**, at the right **time**, and in the right **quantity**.

A **distribution channel** (or marketing channel) is the pathway or set of intermediaries (like wholesalers and retailers) that a product follows on its journey from the producer to the final consumer.

B. IMPORTANCE & FUNCTIONS OF DISTRIBUTION CHANNELS

Channel intermediaries (middlemen) are used because they are *more efficient*. They perform several key functions:

1. **Information:** Gathering and distributing market research about customers and competitors.
2. **Promotion:** Developing and spreading persuasive communications about an offer.
3. **Contact:** Finding and communicating with prospective buyers.
4. **Matching:** Shaping and fitting the offer to the buyer's needs (e.g., sorting, grading, assembling, packaging).
5. **Negotiation:** Reaching an agreement on price and other terms.
6. **Physical distribution:** Transporting and storing goods (logistics).
7. **Financing:** Acquiring and using funds to cover the costs of the channel work.
8. **Risk-taking:** Assuming the risks of carrying out the channel work (e.g., risk of theft, spoilage).

C. CHANNEL STRUCTURES (TYPES OF CHANNELS)

Channels can be classified by the number of "levels" (intermediaries) they have.

1. FOR CONSUMER GOODS

- **Level 0 (direct channel): producer -> consumer**

- The producer sells directly to the final customer.
- **Example:** a bakery selling bread in its own shop; a customer ordering from a company's website (e.g., dell computers).
- **Advantage:** high control, high profit margin.
- **Disadvantage:** limited reach; company must perform all functions.

- **Level 1 (one-level channel): producer -> retailer -> consumer**
  - The producer sells to a large retailer (like Shoprite, game), who then sells to the customer.
  - **Example:** a large appliance brand (like lg) selling its tvs through game.
  - **Advantage:** can reach a large national market efficiently.
- **level 2 (two-level channel): producer -> wholesaler -> retailer -> consumer**
  - The traditional channel. The producer sells in bulk to a wholesaler, who "breaks bulk" and sells smaller quantities to many small retailers.
  - **Example:** Most convenience goods (biscuits, soap, drinks) sold in small kiosks.
  - **Advantage:** Best way to reach thousands of small, local shops.

2. FOR INDUSTRIAL (B2B) GOODS

- **Level 0 (direct): Producer -> Business customer**
  - Very common. A company sells its own machinery or software directly to another company, often using a professional sales force.
- **Level 1: Producer -> Industrial distributor -> Business customer**
  - The "wholesaler" for the b2b market.

D. DISTRIBUTION INTENSITY STRATEGIES

This is the decision of *how many* outlets should carry the product.

1. **Intensive distribution:**
   - **What it is:** stocking the product in as many outlets as possible.
   - **Goal:** complete market saturation and convenience.
   - **Products:** convenience goods (e.g., Coca-Cola, chewing gum, pure water).

2. **Selective distribution:**
    - **What it is:** using a *selected* number of intermediaries (not all) in a given area.
    - **Goal:** to have good market coverage, but with more control and a better-quality image.
    - **Products:** shopping goods (e.g., Samsung TVS, Nike shoes).
3. **Exclusive distribution:**
    - **What it is:** giving a very *limited* number of dealers the exclusive right to distribute the product.
    - **Goal:** to enhance the brand's prestige, allow for high markups, and create a strong partnership.
    - **Products:** specialty/luxury goods (e.g., Rolex watches, Ferrari cars).

EVALUATION QUESTIONS

1. What is a "distribution channel"?
2. List five of the eight functions that a distribution channel performs.
3. Draw a diagram of a "two-level" consumer channel.
4. What is the difference between "intensive distribution" and "exclusive distribution"?
5. Why would a producer of a convenience good (like biscuits) use a "two-level" channel instead of selling directly to consumers?

ASSIGNMENT QUESTIONS

1. A company manufactures luxury wristwatches. What channel structure (0, 1, or 2 level) and what distribution intensity (intensive, selective, exclusive) should it use? Justify your answer.
2. A farmer grows fresh tomatoes. What is a major disadvantage of using a "two-level" channel for his product?
3. What is "matching" as a channel function?
4. What is the difference between a wholesaler and a retailer?
5. Give a real-life example of a company that uses a "direct channel" (level 0).

WEEK 11: REVISION

A. KEY CONCEPT SUMMARY

- **Week 1 (advertising ii):** Media are the channels to deliver ads. Key concepts are **reach, frequency, & impact**. Media types include **broadcast** (tv, radio), **print** (newspapers, magazines), **out-of-home** (billboards), and **digital** (social media).
- **Week 2 (Pricing):** Price is the value exchanged.
    - **Objectives:** Profit, sales, or status-quo.
    - **Determinants:** Internal (costs, objectives) and external (demand, competition).
    - **Strategies: Skimming** (high price), **penetration** (low price), **product-mix pricing** (captive, bundle, etc.), and **psychological** pricing (N499 instead of N500).
- **Week 3 (Promotion I):** Communication to persuade customers.
    - **Purpose:** To inform, persuade, remind, or build relationships.
    - **Tools (Promotion mix):** Advertising, sales promotion, personal selling, public relations, direct/digital marketing.
- **Week 4 (Promotion II):** Sales promotion is *short-term incentives*.
    - **Consumer tools:** Samples, coupons, rebates, price packs (bogof), premiums, contests.
    - **Trade tools:** Discounts, allowances, free goods, push money.
- **Week 6 (Merchandising I):** The "silent salesman" at the point of sale.
    - **Goal:** To stimulate impulse buys.
    - **Techniques:** Layout (grid, loop), shelf placement (eye-level), atmospherics (music, light).
- **Week 8 (merchandising II):** Applications vary by sector.
    - **Supermarkets:** Grid layout, essentials at back, cross-merchandising.
    - **Fashion:** Free-flow layout, atmospherics, mannequins.
- **Week 9 (merchandising III):** Modern trends are digital and experiential.
    - **Digital:** Digital signage, interactive kiosks, Augmented Reality (AR).
    - **Experiential:** "Retail-tainment" (apple store), pop-up shops, sustainable displays.

- **Week 10 (distribution):** Making the product available (place).
    - **Channels:** The path from producer to consumer (direct, one-level, two-level).
    - **Intensity: Intensive** (Coke), **selective** (Nike), **exclusive** (Rolex).

B. INTEGRATED REVISION QUESTIONS

1. A manufacturer gives a retailer an "advertising allowance" and a "display allowance." Which topic does this belong to? (week 4)
2. A company uses "captive-product pricing" (week 2). How would its "distribution" (week 10) strategy for the main product and the captive product differ?
3. How does "merchandising" (week 6) support "sales promotion" (week 4)? (e.g., an end-cap display for a "bogof" offer).
4. A fashion boutique uses "prestige pricing" (week 2). How must its "merchandising" (week 6/8) and "distribution intensity" (week 10) support this price?
5. A company wants to use "augmented reality" (week 9) to promote its new product. Which "advertising medium" (week 1) would be the best to tell customers about this ar feature?
6. What is the difference between "push money" (week 4) and "personal selling" (week 3)?
7. A company launches a new, innovative smartphone. What **pricing strategy** (week 2) and what **distribution strategy** (week 10) would it likely use initially?

C. REVISION ASSIGNMENT

1. Write a short essay (3 paragraphs) on the topic: "Why is 'place' (distribution) a critical part of the marketing mix? Discuss the three levels of distribution intensity."
2. You are the marketing manager for a new energy drink.
    - What **pricing strategy** (skimming/penetration) would you use, and why?

- What **distribution intensity** (intensive/selective/exclusive) would you use?
- What *two* **consumer promotion** methods would you use to launch it?

3. Draw a diagram showing the five tools of the promotion mix. For each tool, write one key advantage.